

**Iowa City Community School District
Iowa City, Iowa**

Annual Comprehensive Financial Report
Year Ended June 30, 2021

Iowa City Community School District Iowa City, Iowa

Annual Comprehensive Financial Report
Year Ended June 30, 2021

Official Issuing Report:
Leslie Finger
Chief Financial Officer, Treasurer

Office Issuing Report:
Education Services Center

Contents

Introductory Section

Table of contents	i–ii
Letter of transmittal	iii–viii
Organizational chart	ix
Board of education and school district officials	x
Certificate of excellence in financial reporting	xi
Certificate of achievement for excellence in financial reporting	xii

Financial Section

Independent auditor's report	1-2
Management's discussion and analysis (MD&A)	3-14
Basic financial statements:	
Government-wide financial statements:	
Statement of net position	15-16
Statement of activities	17-18
Governmental fund financial statements:	
Balance sheet	19-20
Reconciliation of total governmental fund balances to net position of governmental activities	21
Statement of revenues, expenditures and changes in fund balances	22-23
Reconciliation of the statement of revenues, expenditures and changes in fund balances of governmental funds to the statement of activities	24
Proprietary fund financial statements:	
Statement of net position	25
Statement of revenues, expenses and changes in net position	26
Reconciliation of changes in net position of enterprise fund to the statement of activities	27
Statement of cash flows	28
Fiduciary fund financial statements:	
Statement of fiduciary net position	29
Statement of changes in fiduciary net position	30
Notes to basic financial statements	31-61
Required supplementary information:	
Iowa Public Employees' Retirement System:	
Schedule of the District's proportionate share of the net pension liability	62-63
Schedule of District contributions	64
Notes to required supplementary information—pension liability	65
Schedule of changes in the District's total OPEB liability and related ratios	66
Budgetary comparison schedule	67-68
Note to required supplementary information—budgetary reporting	69
Other supplementary information:	
Nonmajor governmental funds:	
Combining balance sheet	70
Combining statement of revenues, expenditures and changes in fund balances	71

Contents

Statistical Section (unaudited)	
Statistical section contents	72
Net position by component	73-74
Expenses, program revenues and net (expense) revenue	75-76
General revenues and total change in net position	77-78
Fund balances, governmental funds	79-80
Governmental funds revenues	81-82
Governmental funds expenditures and debt service ratio	83-84
Other financing sources and uses and net change in fund balances— governmental funds	85-86
Assessed value and actual value of taxable property	87
Direct and overlapping property tax rates	88
Principal property taxpayers	89
Property tax levies and collections	90
Ratios of outstanding debt by type	91
Direct and overlapping governmental activities debt	92
Legal debt margin information	93-94
Demographic and economic statistics	95
Principal employers	96
Full-time equivalent district employees by type	97-98
Operating statistics	99-100
School building information	101-106
Compliance Section	
Schedule of expenditures of federal awards	107
Notes to schedule of expenditures of federal awards	108
Report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with <i>Government Auditing Standards</i>	109-110
Report on compliance for each major federal program and report on internal control over compliance required by the Uniform Guidance	111-112
Schedule of findings and questioned costs	113-117
Summary schedule of prior audit findings	118



Iowa City Community School District

Educational Services Center

Matthew Degner Superintendent of Schools

1725 North Dodge Street • Iowa City, IA 52245 • (319) 688-1000 • Fax (319) 688-1009 • www.iowacityschools.org

January 19, 2022

The Board of Education and Residents
Iowa City Community School District

I am pleased to submit the Annual Comprehensive Financial Report (ACFR) of the Iowa City Community School District (the District) for the fiscal year ended June 30, 2021. The report has been prepared to conform to guidelines recommended by the Association of School Business Officials International and the Government Finance Officers Association of the United States and Canada. The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with the officials of the District's Central Administration staff. We believe that the data is accurately presented, in all material respects; that the data is presented to fairly set forth the financial position and results of operations of the District as measured by the financial activity of the various funds; and that all necessary disclosures have been included in order to enable the reader to gain the maximum understanding of the District's financial affairs.

RSM US LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the District's basic financial statements for the fiscal year ended June 30, 2021. The independent auditor's report is located at the front of the financial section of this report.

The ACFR is presented in four sections: introductory, financial, statistical and single audit compliance. The introductory section includes this transmittal letter, the District's organizational chart and a list of principal District officials. The financial section includes the independent auditor's report, the Management's Discussion and Analysis, the basic financial statements, and the combining and individual fund financial statements and schedules. The statistical section includes selected financial and demographic information, generally presented on a multi-year basis.

Management's discussion and analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview and analysis of the basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

The District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and Title 2 U.S. code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)*. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plan are included in the single audit compliance section of this report.

This report includes all funds of the Iowa City Community School District. The District provides a full range of programs and services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra co-curricular and athletic activities, and community education.

Profile of the Government

In Iowa, school districts operate in accordance with Dillon's Rule with local control and have fiscal independence from other governmental entities. The District operates in compliance with the accounting principles generally accepted in the United States of America (GAAP) and currently prepares its financial statements per the Governmental Accounting Standards Board (GASB) Statement No. 34.

The Iowa City Community School District is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The District is governed by a seven member Board of Education whose members serve four year terms and are elected on a nonpartisan basis. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators.

The Iowa City Community School District serves nearly 125,000 people who live in Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. Covering nearly 133 square miles, the District has developed around the City of Iowa City and The University of Iowa. The District has experienced consistent growth over the last 15 years, growing from 11,268 in 2006 to 14,395 in October 2021. The District is currently the fifth largest public school in the state of Iowa.

The District operates three comprehensive high schools, an alternative high school, three junior high schools, 21 elementary schools and center for offsite programs. In August 2021, the District began offering a K-12 Online Learning Program as approved by the Iowa Department of Education. The District also maintains a maintenance/warehouse facility, transportation facility, three athletic complexes and an administrative office/professional development center. The Iowa City Community School District provides a comprehensive educational program appropriate to students in early childhood and grades pre-school through twelve. These services include basic, regular and enriched academic education, special education, vocational education and numerous individualized programs such as instruction for students at-risk, gifted and talented or limited English proficiency (LEP).

Relevant financial policies

The Iowa City Community School District operates under the laws as defined in the Code of Iowa and policies as determined by the local Board of Directors. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

The Iowa City Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, quarterly financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board approved allowable investments which include certificates of deposit, money markets and pooled investment trusts. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Economic Condition and Outlook

The District is located in the eastern part of the state, within the larger Iowa City metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District has remained strong during the past ten years despite some economic downturns experienced in many areas, including several years of high economic growth and steady enrollment growth in the local area. This growth has had a positive effect on

employment and the District's tax base. The District has experienced steady increases in its tax base over the past 25 years and continued with an increase during 2021 of approximately three percent.

Major employers within the District include The University of Iowa and The University of Iowa Hospitals and Clinics, American College Testing and Pearson Educational Measurement as well as two other hospitals. These employers provide a strong employment base in the education and health care industries. The unemployment rate of the Iowa City area is consistently one of the lowest in the state of Iowa and well below national averages even during periods of recessionary trends. In addition, the Iowa City area is served by two nearby regional airports and two major interstate highways. The economic development organizations of Johnson County have teamed with similar organizations in Linn County to the north to develop a "technology corridor" which combines the strong health care and education industries of Johnson County with numerous manufacturing and financial service organizations in Linn County for a wide range of economic and employment opportunities. Iowa City is also consistently promoted in major business publications as one of the best places in the United States for business, schools and quality of life. These recognitions include a #19 of 100 Best Places to Live by Money, #1 for "Best College Town in America" by reviews.org in 2018, #2 Most Fitness-Friendly Places for 2020 by SmartAsset, #4 on the "Best Places to Live" by Liveability.com in 2019, #3 of 10 Best Places to Get a Fresh Start by Livability and #1 state in the Country by US News & World Report in 2018. In March 2021, US News ranked Iowa the #1 state for opportunity. The area has also been recognized for its quality as a best college town, city for college grads and workforce quality by various sources. Iowa City was also designated by UNESCO as the world's third City of Literature in 2008, one of only two such designations in North or South America and is home to the International Writing Program. The University of Iowa also developed the best tradition in college football with the wave to children being served in the University of Iowa Stead Family Children's Hospital. In April 2018, MSN Money named Iowa City Community School District the #1 school district in the state using an index that measures child poverty, per-pupil expenditure, graduation rate, teachers per student, percentage of adults with a bachelor's degree, preschool enrollment and advanced placement enrollment.

The tax base for the area is estimated to continue to grow in the three percent range. The District has experienced an enrollment growth of over 1,600 students over the last ten years. Future projections indicate a continued trend for enrollment increases, however, a slower annual rate is expected over the next five years. The District has experienced an increase in its October 2021 official enrollment of 111 students, a recovery from the decline of 288 students in 2020 primarily due to the impact of the coronavirus.

Retail sales, building permits and population increases in the area continue to exceed that of most other areas in the state of Iowa during the past several years. Future increases are projected to continue, however economic conditions on the national and state levels in the area will impact local growth levels. A large percentage of the past area increases have occurred within the School District boundaries.

The District's budget is largely dependent on the Iowa school funding formula and various economic factors. For the years 2001-2011, the state of Iowa experienced economic conditions that hampered its ability to fund schools at annual levels of approximately four percent as in prior years. This period included an across the board reduction of \$5,600,000 from the Governor's executive order which the District used its General Fund balance to absorb the reduction. The District also implemented a cash reserve levy for fiscal year 2011 to partially replenish the fund balance and the District maintained significantly all of its programs and services during these conditions. During the last nine years, the state legislature has provided annual growth from one to four percent. The impact on future periods is unknown as funding is determined on an annual basis by the Iowa Legislature.

The District serves the nearly 14,400 students in buildings built from 1917 to 2019. The District has maintained a building envelope and roof maintenance program for many years to monitor the physical considerations of its facilities. District officials developed a 10 year facility master plan in 2013 for planning the maintenance and capital project needs of the district, including life cycle programs for major maintenance and equipment needs, remodeling and renovation of existing facilities and the construction of new facilities throughout the District. This facility plan has

been followed and current projects indicate the plan will be substantially completed early in 2022, nearly two years ahead of the original plan saving the District millions of dollars in construction inflation and borrowing costs. The Board has initiated the process to develop a second 10 year facility master plan, however, no projects or funding activities have started.

The District has completed numerous construction projects during the last ten years. The District completed a major addition on Horn Elementary that was opened in August 2011 and Norman Borlaug Elementary School was opened for classes in August 2012. The District has also completed construction of a fine arts addition at City High School that opened in August 2013. The District opened Alexander Elementary School in August 2015 and completed major additions on three elementary schools and an eight classroom addition at City High School during 2015-2016. Liberty High School, a third comprehensive high school in North Liberty, Iowa was opened for in August 2017 with a total cost of nearly \$57 million. Athletic complexes and additional classroom space have been constructed on the Liberty campus to accommodate student growth and were funded from general obligation bonds as approved by district voters in September 2017. The District also completed construction of two new elementary schools that opened in August 2017 and August 2019. Major additions and renovations are nearing completion at City High School and West High School and remodeling/renovation projects are currently in various stages at four elementary schools and a junior high school. These projects are the final projects of the district's first facility master plan.

During 2006, the U.S. Green Building Council awarded the District a silver certificate for Leadership in Energy and Environmental Design (LEED) in connection with the construction of James Van Allen Elementary School. In 2013, the district received an Excellence in Energy Efficient Design award for the efforts in reducing energy use for Norman Borlaug Elementary School. The District has received energy efficiency awards for its renovations of Mann, Lincoln and Wood Elementary Schools and Southeast Junior High School in the past 18 months.

The District owns a parcel of land of 42 acres in the northern portion of the District for the future construction of school facilities. During the year ending June 30, 2014, the District purchased land for Alexander Elementary School that opened in August 2015 and Hoover (east) Elementary School that opened in August 2017 and Liberty High School completed in August 2017. The District also purchased the land and building utilized by the District's transportation provider. In June 2017, the District purchased a parcel of land containing approximately 18 acres near North Liberty and constructed Grant Elementary School on the parcel that opened in August 2019. The District has also purchased two units previously leased for one its special education programs. In August 2019, the District purchased a warehouse building adjacent to the transportation facility which will replace a leased warehouse facility.

In February 2007, the residents of Johnson County approved a resolution and Revenue Purpose Statement for a 1 percent local option sales tax for a period of 10 years that began on July 1, 2007. The sales tax resulted in revenues of approximately \$13-14 million annually for the first five years, \$10 million annually for several years, but have increased to amounts of approximately \$15 million due to growth in the state's economy. In February 2013, district voters approved the extension of the sales tax Revenue Purpose Statement through June 30, 2029. The District is using these sales tax revenues to fund various projects in the facility master plan as allowed in the Code of Iowa and the approved Revenue Purpose Statement. The Iowa Legislature approved an extension of the sales tax provisions to 2050 that will allow the District to access funding for future construction projects or repayment of general obligation bonds and in November 2021 District voters extended the Revenue Purpose Statement to 2050 to match the legislative action.

The high schools provide a full selection of opportunities in their music departments. Each year, the District has a high number of all-state musicians in addition to consistently earning Division I ratings at state contests. City High and West have both earned at least one Grammy Award for their music department in recent years.

The three comprehensive high schools offer athletic programs in 19 different sports. State championship honors have been earned in boys' soccer, tennis, swimming and basketball while state placing went to boys' and girls cross

country, football, track, volleyball and girls' tennis and basketball during the last four years. The District's three junior high schools also offer athletic programs in 10 different sports.

The high schools also support strong programs in math, debate and journalism that regularly receive state, regional and national recognition.

Students of the District continue to achieve high rankings on college entrance exams and are recognized as National Merit Scholars. The composite averages on these exams are consistently in the top 5 percent of the state and significantly exceed the national averages. These students achieved a graduation rate over 90 percent in 2019 with over 80 percent planning to continue their education at postsecondary schools or other training opportunities.

Other Financial Information

Management of the District is responsible for establishing and maintaining an internal control designed to ensure that its assets are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. The internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state and county financial assistance, the District also is responsible for ensuring that an adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit, described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ended June 30, 2021 provided no violations of applicable laws and regulations.

Budgetary Controls. In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, special revenue funds, Debt Service Fund, enterprise funds and Capital Projects Fund are included in the annual appropriated budget by program. Project length financial plans are adopted for the capital projects funds and budgeted accordingly on an annual basis. The level of statutory budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Department of Education, state of Iowa. The chart of accounts manual is updated annually and the District is in full compliance with these requirements.

Cash Management. Cash, while temporarily idle during the year, was invested in money market deposit accounts and other short term investments as allowed by law. Interest rates have declined compared to the previous year due to coronavirus conditions and the district experienced a decrease its interest revenue compared to amounts received in previous years. This aspect of the District's finances has gained importance in recent years as the District

continues efforts to maximize the yield on our investments in accordance with the Board approved investment policy without forfeiting the use of fund balances.

Risk Management. The District utilizes a single medical care facility and dedicated physician program for its workers compensation program to lower the claim expense and experience modification factor as it relates to workers' compensation. A safety committee has been operational for several years and meets periodically to review the District's facilities and programs. The District manages a self-funded health insurance plan for its employee medical and prescription program. The health plan is funded at the maximum expected claim levels and coverage for individual and aggregate stop loss coverage is purchased by the plan. The District is also managing the health plan in accordance with the provisions of the Patient Protection and Affordable Care Act.

Awards and Acknowledgments

Independent Audit. The accounting firm of RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act Amendments of 1996 and related Uniform Guidance. The auditor's report on the basic financial statements, combining and individual fund statements and other schedules is included in the financial section of this report.

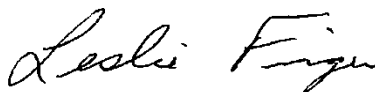
Awards. The Government Finance Officers Association of the United States and Canada (GFOA) awards a Certificate of Achievement in Financial Reporting and the Association of School Business Officials International, (ASBO) awards a Certificate of Excellence in Financial Reporting. The Iowa City Community School District received both of these Certificates for its comprehensive annual financial report for the fiscal year ended June 30, 2020. Each Certificate is a prestigious national award, recognizing conformance with the highest standards for preparation of government financial reports.

In order to be eligible to receive the Certificates, a governmental unit must publish an easily readable and efficiently organized ACFR whose contents conform to program standards. This report must satisfy both accounting principles generally accepted in the United States of America and applicable legal requirements.

These Certificates are valid for a period of one year only. The Iowa City Community School District has received these awards for the fifteen previous fiscal years Comprehensive Annual Financial Report. I believe that our current ACFR conforms to the requirements for both awards and, therefore, we are submitting to the GFOA and ASBO to determine its eligibility for each Certificate. The Iowa City Community School District had not applied for the Certificates in any years prior to 2006.

Acknowledgment: The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the accounting staff and our auditors, RSM US LLP. I would like to express my appreciation to all staff members who assisted and contributed to this report as well as members of city and county governments. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,



Leslie J. Finger
Chief Financial Officer, Treasurer & SBO

Iowa City Community School District

Matt Degner
Superintendent of Schools

Amy Kortemeyer
Deputy Superintendent

Chace Ramey
Deputy Superintendent

Executive Directors

Nick Proud
Executive Director of
Teaching and Learning

Diane Schumacher
Executive Director of
Teaching and Learning

Teaching & Learning Directors

Lora Daily
Director of Learning
Supports

Laura Gray
Director of Diversity &
Cultural Responsiveness

Lisa Glenn
Director of Special
Education

Kate Callahan
Director of Student
Services

Teaching & Learning Assistant Director

Ashley Reedy
Assistant Director of
Special Education

Operations Directors

Leslie Finger
Chief Financial Officer

Kristin Pedersen
Director of Community
Relations

Jeff Barnes
Director of Facilities
Management

Alison Demory
Director of Nutrition
Services

Eric Howard
Director of Equity &
Employee Relations

Adam Kurth
Director of Technology &
Innovation

Jeremy Tabor
Director of Human
Resources

Iowa City Community School District

Board of Education and School District Officials
Year Ended June 30, 2021

Board of Education

For the Period July 1, 2020 to June 30, 2021:

Name	Title	Term Expires
Shawn Eyestone	President	November 2023
Ruthina Malone	Vice President	November 2021
J.P. Claussen	Board Member	November 2021
Charlie Eastham	Board Member	November 2023
Janet Godwin	Board Member	November 2021
Lisa Williams	Board Member	November 2023
Dromi Etsey	Board Member	November 2023

School District Officials

Matt Degner	Superintendent	Appointed
Leslie J. Finger	Treasurer	Appointed
Joe Holland	Attorney	Appointed
Janet Grafft	Secretary	Appointed



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Iowa City Community School District

**for its Comprehensive Annual Financial Report
for the Fiscal Year Ended June 30, 2020.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence.



A handwritten signature in black ink, reading 'W. Edward Chabal'.

W. Edward Chabal
President

A handwritten signature in black ink, reading 'David J. Lewis'.

David J. Lewis
Executive Director



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Iowa City Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2020

Christopher P. Morrell

Executive Director/CEO

Independent Auditor's Report

RSM US LLP

Board of Education
Iowa City Community School District

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Iowa City Community School District (the District) as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District as of June 30, 2021, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matters

As explained in Note 18 to the basic financial statements, the District restated beginning net position of the Governmental Activities to correct an error in the construction in progress account.

Also as explained in Note 18 to the basic financial statements, the District adopted GASB Statement No. 84, *Fiduciary Activities*, which restated the beginning net position of the governmental activities and beginning fund balance of the general fund. Our opinions are not modified with respect to these matters.

Other Matters***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, the schedule of the District's proportionate share of the net pension liability and schedule of District contributions for the Iowa Public Employees' Retirement System, the schedule of changes in the District's total other postemployment benefit plan liability and budgetary comparison information, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying combining nonmajor governmental fund financial statements, the accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), and the introductory and statistical sections are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The accompanying combining nonmajor governmental fund financial statements, the accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) are the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The accompanying introductory and statistical sections are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information has not been subjected to the auditing procedures applied in the audits of the basic financial statements, and accordingly, we do not express an opinion on or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated January 19, 2022 on our consideration of the District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

RSM VS LLP

Davenport, Iowa
January 19, 2022

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Iowa City Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2021. We encourage readers to consider this information in conjunction with the District's financial statements.

Financial Highlights

Total net position increased \$16,687,758 from \$171,973,958 in 2020 to \$188,661,716 in 2021. Total revenues for the fiscal year 2021 increased \$19,583,789 from 2020. Total expenses increased from \$212,130,128 in 2020 to \$244,924,703 in 2021. The prior year governmental activities net position was restated by approximately \$35 million due to construction-in-progress progress that weren't removed when placed into service, as discussed in Note 18 to the financial statements.

General Fund revenues increased from \$169,739,238 in fiscal year 2020 to \$190,292,179 in fiscal year 2021, while General Fund expenditures increased from \$173,099,142 in fiscal year 2020 to \$184,848,101 in fiscal year 2021. In addition, the District transferred \$950,000 to other funds during fiscal year 2021. This resulted in an increase in the District's General Fund balance from \$11,240,140 in fiscal year 2020 to \$15,734,218 in fiscal year 2021.

The increase in General Fund revenues for fiscal year 2021 was attributable to an increase in property tax revenues and 2.30% supplemental state aid (formerly allowable growth) as provided in the state funding formula by the Iowa Legislature and approximately \$9M provided from federal resources as a response to the coronavirus (COVID-19) pandemic. The increased expenditures in the General Fund were due to negotiated salary increases and instructional materials, software and technology to serve students and staff in various learning models during the coronavirus pandemic.

Overview of the Financial Statements

This report consists of three parts: management's discussion and analysis (this section), the basic financial statements and required supplementary information. The basic financial statements include two kinds of statements that present different views of the District.

- The first two statements are government-wide financial statements that provide both short-term and long-term information about the District's overall financial status.
- The remaining statements are fund financial statements that focus on individual parts of the District, reporting the District's operations in more detail than the government-wide statements.
 - ✓ The governmental fund statements explain how basic services, such as regular and special education, were financed in the short term as well as what remains for future spending.
 - ✓ The statements for proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, such as food services.
 - ✓ The statements for fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee for the benefit of others.

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The statements are followed by a section of required supplementary information that further explains and supports the financial statements with a comparison of the District's budget for the year.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Iowa City Community School District Annual Financial Report

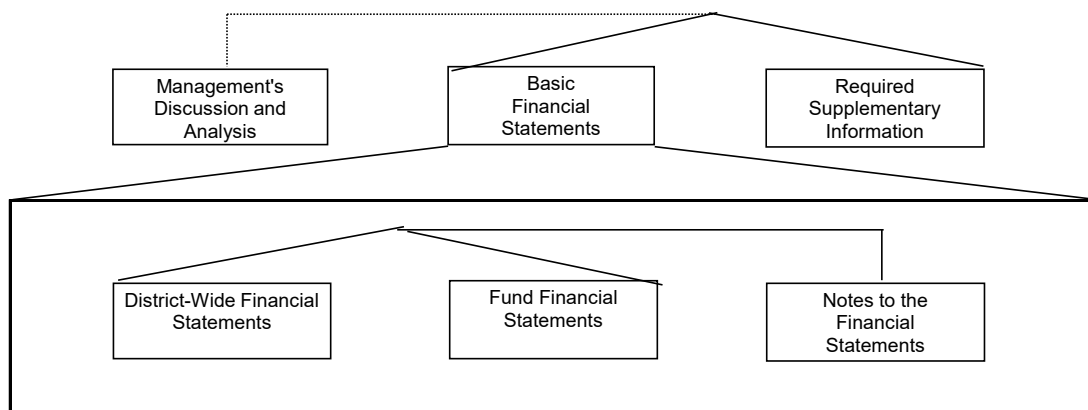


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain. The remainder of this overview section of the management's discussion and analysis highlights the structure and contents of each of the statements.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and adult education	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and student activities monies
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of fund net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Government-Wide Statements

The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, liabilities and deferred inflows/outflows of resources. All of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows of resources and liabilities and deferred inflows of resources – are one way to measure the District's financial health or position. To assess the District's overall health, you need to consider additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities.

For the government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- **Business-type activities:** The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included as a business-type activity.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show that it is properly using certain revenues such as federal grants.

The District has three kinds of funds:

- **Governmental funds.** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information following the governmental fund statements explains the relationship or differences between the two statements.
 - ✓ The District's governmental funds include the General Fund, Physical Plant and Equipment Levy Fund, Management Fund, Student Activity Fund, Debt Service Fund and two Capital Projects Funds.
- **Proprietary funds.** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide statements.
 - ✓ The District's enterprise fund, one type of proprietary fund, is encompassed in the District's business-type activities, but provide more detail and additional information, such as cash flows. The District currently has one enterprise fund, the School Nutrition Fund.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

- ✓ Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District currently uses an Internal Service Fund to account for its self-insured health insurance and dental insurance funds.
- Fiduciary funds. The District is the trustee, or fiduciary, for assets that belong to others. These funds include Private-Purpose Trust funds.
 - ✓ Private-Purpose Trust Fund – The District accounts for assets for scholarships for individual students in this fund according to the terms of the donor's request.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

Financial Analysis of the District as a Whole

Net position: Figure A-3 below provides a summary of the District's net position for the year ended June 30, 2021 compared to 2020:

Figure A-3
Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2021	2020*	2021	2020	2021	2020*	2021-2020
Current and other assets	\$ 202,634,389	\$ 243,213,319	\$ 3,887,397	\$ 3,561,409	\$ 206,521,786	246,774,728	\$ (40,252,942)
Capital assets	478,573,954	439,983,843	478,029	452,368	479,051,983	440,436,211	38,615,772
Total assets	681,208,343	683,197,162	4,365,426	4,013,777	685,573,769	687,210,939	(1,637,170)
Deferred outflows of resources	27,177,732	25,226,524	548,121	508,659	27,725,853	25,735,183	1,990,670
Long-term obligations	357,416,157	358,140,905	2,049,195	1,720,595	359,465,352	359,861,500	(396,148)
Other liabilities	48,543,353	51,104,553	285,285	327,559	48,828,638	51,432,112	(2,603,474)
Total liabilities	405,959,510	409,245,458	2,334,480	2,048,154	408,293,990	411,293,612	(2,999,622)
Deferred inflows of resources	114,877,040	122,581,273	57,841	259,885	114,934,881	122,841,158	(7,906,277)
Net position:							
Net investment in capital assets	234,857,308	223,786,832	478,029	452,368	235,335,337	224,239,200	11,096,137
Restricted	4,523,663	8,284,684	-	-	4,523,663	8,284,684	(3,761,021)
Unrestricted	(51,831,446)	(55,474,561)	2,043,197	1,762,029	(49,788,249)	(53,712,532)	3,924,283
Total net position	\$ 187,549,525	\$ 176,596,955	\$ 2,521,226	\$ 2,214,397	\$ 190,070,751	\$ 178,811,352	\$ 11,259,399

* Restated, see Footnote 18

The District's total assets decreased by 5.4% during the year ended June 30, 2021. The decrease occurred primarily as a result of the investment in capital assets as detailed in Note 5. During the year ended June 30, 2021, the District completed the renovation of four elementary schools, a 500 student addition on one high school the renovation and renovations for the alternate high school and one junior high school as part of the ten year facility master plan. The District also expended approximately \$900,000 for furniture, fixtures and equipment for the new facilities. In addition, the District expended approximately \$40,000,000 for major renovations at two high schools, remodeling projects at four elementary schools and one junior high school that are expected to be completed in the next year.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Deferred outflows of resources increased by \$1,990,670, primarily from amounts recorded for the IPERS defined benefit pension program as detailed in Note 7.

Long-term obligations decreased by \$396,148 and other liabilities decreased \$3,085,331, compared to the prior year. Accounts payable decreased by approximately \$4 million due to fewer constructions projects in process as of June 30, 2021 compared to prior years. During the year ending June 30, 2021, the District reduced its long-term debt by approximately \$17 million in accordance with the debt service schedules of general obligation bonds, sales tax revenue bonds and capital loan notes issued in prior years as detailed in Note 6 to the financial statements. Long-term obligations increased by approximately \$18,000,000 for amounts recorded for postemployment benefits in accordance with GASB 75 and changes in the net pension liabilities as detailed in Note 7.

The total net position of the District's business-type activities increased by \$306,829 compared to the prior year's balance. This decrease is due primarily to a reduction in expenditures of the district's nutrition program resulting from the district serving fewer meals during periods of virtual learning related to the coronavirus pandemic.

Changes in net position – Figure A-4 shows the changes in net position for the years ended June 30, 2021 and 2020:

Figure A-4
Changes in Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	2021	2020	2021	2020	2021	2020
	(as restated)	(not restated)	(not restated)	(not restated)	(as restated)	(not restated)
Revenues:						
Program revenues:						
Charges for service and sales	\$ 2,251,074	\$ 2,502,716	\$ 404,205	\$ 2,174,897	\$ 2,655,279	\$ 4,677,613
Operating grants and contributions	33,587,992	26,865,019	5,467,733	4,416,802	39,055,725	31,281,821
Capital grants and contributions	768,076	206,540	-	-	768,076	206,540
General revenues:						
Property taxes	110,955,636	101,787,188	-	-	110,955,636	101,787,188
Sales tax	16,197,824	14,810,601	-	-	16,197,824	14,810,601
Unrestricted state grants	72,359,885	69,240,057	-	-	72,359,885	69,240,057
Unrestricted investment earnings	754,505	2,062,291	5,074	31,966	759,579	2,094,257
Other	3,632,537	1,242,837	-	-	3,632,537	1,242,837
Transfers	(200,000)	-	200,000	-	-	-
Total revenues	240,307,529	218,717,249	6,077,012	6,623,665	246,384,541	225,340,914
Expenses:						
Governmental activities:						
Instruction	150,028,116	136,961,064	-	-	150,028,116	136,961,064
Support services	71,028,366	66,121,267	-	-	71,028,366	66,121,267
Noninstructional programs	566,924	615,064	-	-	566,924	615,064
Other expenses	7,731,553	8,530,365	-	-	7,731,553	8,530,365
Business-type activities,						
nutritional services	-	-	5,770,183	6,747,139	5,770,183	6,747,139
Total expenses	229,354,959	212,227,760	5,770,183	6,747,139	235,125,142	218,974,899
Change in net position	10,952,570	6,489,489	306,829	(123,474)	11,259,399	6,366,015
Net position, beginning of year	176,596,955	205,284,450	2,214,397	2,337,871	178,811,352	207,622,321
Net position, end of year	\$ 187,549,525	\$ 211,773,939	\$ 2,521,226	\$ 2,214,397	\$ 190,070,751	\$ 213,988,336

Property and sales taxes and unrestricted state grants account for 81% and 82% of the total revenue for the years ended June 30, 2021 and 2020, respectively. The District's expenses primarily relate to instruction and support services which account for 94% and 93% of the total expenses for the years ended June 30, 2021 and 2020, respectively.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Governmental Activities

Revenues for governmental activities were \$240,307,529 and expenses were \$229,354,959. This difference of \$10,952,570 was used primarily for the repayment of the general obligations bonds and capital loan notes. Revenues in the governmental activities increased approximately \$21,590,280 or 9.8% over 2020. This increase is primarily from property taxes and state sources as provided through the school funding formula and approximately \$9 million provided by the Elementary and Secondary School Emergency Relief Fund (ESSER) and American Rescue Plan Act (ARP) enacted by the federal government from March 2020 to March 2021. Property taxes levied for the repayment of general obligation bonds were also higher for 2021. Investment earnings decreased approximately \$1,300,000 compared to 2020 due to a lower balance of idle funds and lower interest rates compared to prior years.

The increase in expenses in governmental activities of \$17,127,199 or 8.0% is related to expenses for increased salary and benefits from negotiated contract settlements and expenses from instructional materials and technology purchased during the pandemic. The District also recorded \$594,588 in the current year for other postemployment benefit liabilities which are attributable to the statutory requirement that the District allows retirees the ability to purchase District sponsored health insurance at the employee's own cost. The District does not offer any voluntary postretirement benefits.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses.

Figure A-5
Total and Net Cost of Governmental Activities

	2021		2020	
	Total Cost of Services	Net Cost of Services	Total Cost of Services	Net Cost of Services
Instruction	\$ 150,028,116	\$ (121,547,173)	\$ 136,961,064	\$ (114,663,690)
Support services	71,028,366	(62,902,167)	66,121,267	(58,844,366)
Noninstructional programs	566,924	(566,924)	615,064	(615,064)
Other expenses	7,731,553	(7,731,553)	8,530,365	(8,530,365)
Totals	\$ 229,354,959	\$ (192,747,817)	\$ 212,227,760	\$ (182,653,485)

- The cost financed by users of the District's programs was \$2,251,074 for 2021 and \$2,502,716 for 2020. This increase was primarily from an increase in tuition received from services provided to students from other school districts.
- Federal and state governments subsidized certain programs with grants and contributions totaling \$34,356,068 for 2021 and \$27,071,559 for 2020. The district had an increase in federal resources provided by ESSER and ARP legislation.
- The remaining net cost of governmental activities was financed with property tax, sales tax, state foundation aid and investment earnings.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Business-Type Activities

Revenues of the District's business-type activities were \$5,871,938, excluding \$5,074 of investment earnings and \$200,000 of transfers in, and expenses were \$5,770,183. The District's business-type activities include the School Nutrition Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements and interest income. Revenues decreased by approximately 8.3% due to a decrease in the number of meals served from the lower student participation levels as a result of COVID-19 school closures. Expenses decreased by 14.5% due to lower food and supply costs to serve the decreased participation levels as many students were served in a virtual learning environment and not within district facilities for a majority of the school year.

Financial Analysis of the District's Funds

As previously noted, the Iowa City Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental fund highlights: The financial performance of the District as a whole is reflected in its governmental funds as well. As the District completed the year, its governmental funds reported combined fund balances of \$43,453,003 which was a decrease of \$39,195,780 from last year's ending fund balances of \$82,648,783. The primary reason for the net decrease in combined fund balances in fiscal year 2021 is the use of \$44 million of general obligation bond funds from prior year bond sales for construction projects of the facility master plan as detail below.

- The District's General Fund financial position is the product of many factors. The primary factor resulting in the General Funds increased balance for the year ending June 30, 2021 was due to federal resources from ESSER and ARP programs enacted by the federal government.
- The GO Bond Fund balance was added in fiscal year 2018 to account for the general obligation bonds sold in December 2017, 2019 and 2020 and the construction expenditures of the District's ten year facility master plan. The district expended over \$44 million of these bond proceeds during the year ending June 30, 2021.
- The Capital Projects Fund balance decreased from a balance of \$4,129,340 in fiscal year 2020 to \$1,409,807 in fiscal year 2021. This decrease is primarily due to the use of sales tax revenues for the purchase of technology to refresh student and staff chromebooks and computers. The district expects to recover approximately \$2 million from the sale of replace equipment.
- The Physical Plant and Equipment Levy Fund balance increased from a balance of \$809,247 in fiscal year 2020 to \$2,434,243 in fiscal year 2021. This increase is primarily due to the district budgeting funds for future facility projects and land acquisition for anticipated enrollment growth.
- The Debt Service Fund balance increased from a balance of \$204,652 in fiscal year 2020 to \$714,252 in fiscal year 2021. This increase is primarily due to property tax revenues collected were higher than expected due to valuations and timing changes from other legislative bodies.

Proprietary fund highlights: The School Nutrition Fund's net position increased from \$1,065,675 as of June 30, 2020 to \$1,367,380 as of June 30, 2021, representing an increase of approximately 28.3% for 2021 compared to a decrease of 7.8% for 2020. The increase was primarily due to the higher reimbursement rates from federal entities and controlling the supply and staffing costs to serve meals during the COVID-19 periods.

The Internal Service Fund for the District's self-insured health insurance fund and dental insurance funds decreased net position from \$19,721,095 in 2020 to \$18,386,175 in 2021. This decrease was due to increased health and dental claims from COVID-10 related illnesses and healthcare needs deferred late in fiscal year 2020 occurring in 2021.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Budgetary Highlights

In accordance with the Code of Iowa, the Board of Education annually adopts a certified budget following required public notice and hearing for all funds, except its internal service, private-purpose trust and agency funds. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's certified budget is prepared on the GAAP basis. Over the course of the year, the District amended its annual (operating) budget one time to reflect additional revenue and expenditures associated with programs and activities added or changed during the fiscal year. A schedule showing the original certified and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

Legal budgetary highlights: The District's total actual revenues were \$10,779,845 more than the total budgeted revenues, a variance of 4.6% from the final budget. This increase was primarily due to ESSER and ARP funds provided by federal legislation enacted from March 2020 to March 2021.

Total expenditures were less than budgeted. It is the District's practice to budget expenditures at the maximum authorized spending authority as defined by the Code of Iowa. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed the actual expenditures during the year. In addition, the Board of Directors has utilized a resource allocation model to manage the expenditure levels with available resources and to address the educational needs of the district's student enrollment. The increased expenditures primarily in the other expenditure category were due to construction expenditures as planned in the District's facility master plan and funded by sales tax revenue bonds in fiscal years 2015 to 2018 and general obligation bonds in 2017 to 2020.

Capital Asset and Debt Administration

Capital assets: As of June 30, 2021, the District had invested \$479 million, net of accumulated depreciation, in the broad range of capital assets, including land, buildings, athletic facilities, computers and equipment. (See Figure A-6) This amount represents a net increase of \$3.4 million from last year. More detailed information about capital assets is available in Note 5 to the financial statements. Depreciation expense for the year was \$12,485,451.

The original costs of the District's capital assets were approximately \$618.5 million. Governmental funds account for approximately \$616.6 million with the remainder of \$1.9 million in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the building and construction in progress categories. The building category increased primarily from the completion of renovations and improvements at Grant Wood, Kirkwood, Garner and Wickham Elementary Schools, remodeling at a junior high school building and additions at two high schools. The construction-in-progress category decreased due to the completion of several projects that are now classified in the building category. The remaining construction projects are expected to be completed in the next fiscal period.

Figure A-6
Capital Assets, Net of Depreciation

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2021	2020	2021	2020	2021	2020	2021-2020
Land	\$ 15,552,273	\$ 15,552,273	\$ -	\$ -	\$ 15,552,273	\$ 15,552,273	\$ -
Construction-in-progress *	80,540,792	80,061,071	77,600	-	80,618,392	80,061,071	557,321
Buildings	350,537,411	314,210,203	-	-	350,537,411	314,210,203	36,327,208
Improvements other than buildings	27,961,840	25,227,699	-	-	27,961,840	25,227,699	2,734,141
Furniture and equipment	3,981,638	4,932,597	400,429	452,368	4,382,067	5,384,965	(1,002,898)
Total	\$ 478,573,954	\$ 439,983,843	\$ 478,029	\$ 452,368	\$ 479,051,983	\$ 440,436,211	\$ 38,615,772

* 2020 restated, see Footnote 18

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

Long-term debt: As of June 30, 2021, the District had \$264.9 million in general obligation and other long-term debt outstanding. This represents a decrease of approximately \$16.0 million from last year. The increase in the early retirement obligation is due to a increase in the number of employees accepting the District's early retirement incentive in 2021 compared to 2020 as part of management's plan to reduce and control General Fund expenditures from the prior year. The decrease in general obligation bonds and related premiums was related to the repayment and amortization of the debt for previously issued bonds. Sales tax revenue bonds and capital loan notes decreased by \$8,065,000 and \$865,000, respectively from the previously stated maturities.

(See Figure A-7) More detailed information about the District's long-term liabilities are available in Note 6 to the financial statements.

Figure A-7
Outstanding Long-Term Obligations

	Total School District		Total Change
	2021	2020	2021-2020
General obligation bonds	\$ 170,605,000	\$ 176,905,000	\$ (6,300,000)
Premium on general obligation bonds	11,112,043	12,406,326	(1,294,283)
Capital loan notes	3,645,000	4,510,000	(865,000)
Sales tax revenue bonds	74,430,000	82,495,000	(8,065,000)
Premium on sales tax revenue bonds	1,671,343	2,106,408	(435,065)
Capital lease	-	381,196	(381,196)
Early retirement	2,375,381	939,501	1,435,880
Compensated absences	1,029,914	1,092,228	(62,314)
Totals	\$ 264,868,681	\$ 280,835,659	\$ (15,966,978)

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District received supplemental state aid (formerly allowable growth) of 2% and a one-time 2% supplemental state aid allocation for fiscal year 2014 and supplemental state aid at 4%, 1.25%, 2.25%, 1.11%, 1% and 2.06 percent for fiscal years 2015 through 2020 respectively. For the fiscal year 2021, the District received supplemental state aid of 2.30% and will receive 2.4% for fiscal year 2022. The Iowa Legislature will take up the issue to determine the level of the supplemental state aid for FY2023 and beyond starting in their January 2022 session. As the District's General Fund budget is comprised of approximately 85% salary and benefits, wage and salary adjustments realized through the negotiations process will have a significant impact on future budget spending decisions. In February 2017, significant legislative changes to Chapter 20 of the Code of Iowa as it relates to formal negotiations were enacted and the District continues to review the flexibility for control of these expenditures.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

- The Iowa school funding formula and several state categorically funded programs are highly dependent upon student enrollment. The District has experienced enrollment growth of 321, 386, 168, 343, 309, 213, 86 and 286 students in the last eight years, respectively. The enrollment decline of approximately 288 students in fiscal year ending 2021 has impacted the District's budget in fiscal year ending 2022 primarily in staffing using the district's weighted resource allocation model. In October 2021, the district enrollment increased 111 students that will factor in the fiscal 2023 budget, however, the final impact will be determined from the supplemental state aid allocations for that fiscal period. The combined enrollment increase of over 1,900 students in the last ten years have required additional staff and materials for educational programs and the demand for additional space and renovations to the existing facilities and construction of new facilities included in the District's Facility Master Plan and will also increase expenditures related to utilities, custodial, maintenance and support staff. The District is planning to utilize a demographer to assist with projecting future enrollment increases.
- In September 2017, District voters approved the issuance of \$191,525,000 of General Obligation Bonds to fund identified construction and renovation projects of the Facility Master Plan. The District sold the approved bonds in three installments: \$58,955,000 in November 2017, \$66,645,000 in January 2019 and \$65,925,000 in February 2020. These bonds have funded multiple construction, remodeling and renovation projects with final completion planned in 2022. The bonds will be paid from property taxes collected from 2018 to 2038.
- The District sold Capital Loan Notes of \$9,435,000 in December 2014. The proceeds from the sale of these Notes funded various construction projects in the Facility Master Plan and will be repaid from the existing Physical Plant and Equipment Levy (PPEL) through 2025. In addition, the District sold School Infrastructure Sales, Services and Use Tax Revenue Bonds of approximately \$60 million in September 2015, \$10,000,000 in December 2016, \$11,185,000 in January 2017, \$21,200,000 in August 2017 and \$9,085,000 in June 2018. These revenue funds have been used for projects at Coralville Central Elementary, Lucas Elementary School, City High School, construction of Liberty High School and Hoover (East) Elementary School and major renovation projects at Lucas Elementary School and West High School. The Revenue Bonds will be repaid from sales tax revenues collected through 2029.
- Liberty High School, a new comprehensive high school, was opened in August 2017 with a cost of approximately \$57 million and an enrollment of 740 students. In addition to the building, the District completed the construction of the football and track stadium in August 2018 and athletic venues for soccer, softball and baseball near the high school building for the 2019-20 school year. The District completed a 500 student addition in 2021 to provide additional classroom space to accommodate the enrollment growth in this attendance area. This will require increased expenditures for instructional staff, support and custodial expenditures in future fiscal years.
- The enrollment increases experienced in recent years has included significant additional student needs for students requiring English language learning programs. The District has hired additional staff with the appropriate certifications to serve these students. The District expended approximately \$2,600,000 more during the year ended June 30, 2021 than direct categorical program revenue. The District will continue to request additional modified supplemental spending authority for this Limited English Program deficit from the School Budget Review Committee to support these expenditures in future periods.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

- The District has maintained its special education services in accordance with federal and state laws and the individualized education plans for the respective students during the coronavirus (COVID-19) pandemic. The health and safety protocols and district learning models used during the 2020-2021 schools reduced the eligible Medicaid services provided to these students and the applicable reimbursements received to reduce the district's special education expenditures. The special education deficit computation for the year ending June 30, 2021 increased by approximately \$1.4 million due to this reduction of Medicaid revenues, however the District will request additional modified supplement authority from the School Budget Review Committee to support this deficit. The District anticipates that Medicaid revenues will return to levels experienced in prior years as eligible services are provided to district students in future fiscal periods.
- The District provides health insurance to its employees utilizing a self-funded insurance plan with specific and aggregate reinsurance coverage as required by the State of Iowa. The District's plan is subject to various insurance coverage and reporting provisions of the Patient Protection and Affordable Care Act (ACA) and the District believes its plan complies with all coverage and reporting requirements of the ACA. The transitional reinsurance fees included in the ACA rules are being paid from the current premium levels of the self-funded plan and the District anticipates the impact of the coverage and reporting rules to be minimal based upon existing insurance benefits offered to its staff. In addition, the Occupational Safety and Health Administration (OSHA) recently released emergency rules requiring certain employers to require vaccinations, testing and face coverings against COVID-19. The District will be subject to these rules and is in process of developing and implementing these rules, however, the district's health insurance plan will incur additional expenses for covered employees. The impact on the self-funded insurance plan and other district funds will be determined as further guidance is provided on these rules.
- The ten-year Facility Master Plan, originally approved in December 2013 and subsequently updated in April 2015, February 2017 and February 2019, included over \$300 million of construction and renovation projects. As previously noted, taxpayers within the District approved a bond referendum authorizing \$191,925,000 of general obligation bonds to fund the projects in the Facility Master Plan. As the District nears the completion of the projects funded from these bonds, the District has began the process to assess the needs and begin planning for additional facility options in a second ten year plan. However, the timeline for any projects and related funding for any future facility projects will be determined at a later date.
- The District has been impacted by the coronavirus (COVID-19) pandemic since March 2020. All District facilities were closed and classes held in an online program from March 23 to May 29, 2020. The District closely monitored the pandemic conditions of the community and modified its instructional delivery models to include various combinations of in person learning and virtual learning options for district students during the 2020-2021 school year. In addition, the District has facilitated vaccination sites and staff for the administration of the vaccine including the recently approved vaccines for students age 5-11. The District served free meals to all district students under provisions and resources of the National School Lunch Program for 2020-2021 and 2021-2022 school years. The future of these federal resources for student meals and the impact on the District's School Nutrition Fund are unknown.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2021

- The District received \$1,633,984 from the Elementary and Secondary School Emergency Relief (ESSER I) portion of the federal Coronavirus Aid, Relief, and Economic Security (CARES) Act enacted on March 27, 2020. The District was allocated \$12,288,034 in ESSER II funds of the Coronavirus Response and Relief Supplemental Appropriations Act (CRSSA) enacted on December 27, 2020 and was allocated \$27,597,179 from the American Rescue Plan Act (ARP) in ESSER III or ARP enacted on March 11, 2021. The District plans to expend these resources for instructional and technology needs, academic supports, summer programming and other learning loss measures, additional curriculum development and chrome books for a 1:1 technology initiative at the elementary grade levels. As of June 30, 2020 and 2021, the District had expended \$165,571 and \$8,421,525, respectively, of these federal funds and will have approximately \$33 million available for fiscal years 2022 and 2023. In addition, the District has received grant funding of \$650,000 for mental health supports from the Emergency Education Relief funds administered by the State of Iowa for fiscal years 2022 and 2023.
- In accordance with requirements from the Iowa Department of Education, the District developed a state approved online learning program for 2021-2022 and beyond. The District has enrolled approximately 900 students in the online learning program with approximately 700 district students and 200 students from other school districts in the state of Iowa that pay tuition according to the open enrollment rules for the state. The enrollment in the online program for future years including the number of non-resident students has not been determined. Student enrollments will determine the instructional needs and costs of the program for future periods.
- In 2019, state legislators approved the extension of SAVE for 20 years to 2050. The SAVE resources will provide the District with additional borrowing capacity for as much as \$145 million for facility improvement projects with an estimated \$35 million being available as early as 2023. The Board of Education has the option, and could choose to use the annual SAVE revenue stream to pay down general obligation bond debt rather than spending on additional facility related projects. On November 2, 2021, the voters of the District approved an extension of its revenue purpose statement (RPS) from 2029 to 2050 to guide the expenditures from these SAVE resources.

Contacting the District's Financial Management

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Leslie Finger, Chief Financial Officer and Treasurer, Iowa City Community School District, 1725 North Dodge Street, Iowa City, Iowa 52245.

Iowa City Community School District

Statement of Net Position
June 30, 2021

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents, and investments	\$ 73,785,430	\$ 2,291,100	\$ 76,076,530
Restricted cash	1,770,109	-	1,770,109
Receivables:			
Property tax:			
Current year	788,480	-	788,480
Succeeding year	104,277,094	-	104,277,094
Income surtax	6,692,192	-	6,692,192
Sales taxes	2,093,103	-	2,093,103
Other	1,005,905	-	1,005,905
Due from other governments	11,676,475	371,313	12,047,788
Internal balances	(1,117,786)	1,117,786	-
Inventories	-	107,198	107,198
Prepaid expenses	1,663,387	-	1,663,387
Total current assets	202,634,389	3,887,397	206,521,786
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	15,552,273	-	15,552,273
Construction-in-progress	80,540,792	-	80,540,792
Depreciable capital assets, net of accumulated depreciation	382,480,889	478,029	382,958,918
Total noncurrent assets	478,573,954	478,029	479,051,983
Total assets	681,208,343	4,365,426	685,573,769
Deferred Outflows of Resources			
Pension related amounts	26,857,912	548,121	27,406,033
Other post employment benefit related amounts	319,820	-	319,820
Total deferred outflows of resources	27,177,732	548,121	27,725,853

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	\$ 9,466,577	\$ 38,744	\$ 9,505,321
Salaries and benefits payable	17,395,695	29,400	17,425,095
Claims payable	1,655,259	-	1,655,259
Accrued interest payable	736,177	-	736,177
Unearned revenues	194,350	217,141	411,491
General obligation bonds	6,585,000	-	6,585,000
Capital loan notes	880,000	-	880,000
Revenue bonds	8,225,000	-	8,225,000
Early retirement	2,375,381	-	2,375,381
Compensated absences	1,029,914	-	1,029,914
Total current liabilities	48,543,353	285,285	48,828,638
Noncurrent liabilities:			
Total other postemployment benefit liability	11,232,609	-	11,232,609
Net pension liability	100,410,162	2,049,195	102,459,357
General obligation bonds, net of unamortized premium and discounts	175,132,043	-	175,132,043
Capital loan notes	2,765,000	-	2,765,000
Revenue bonds, net of unamortized premium	67,876,343	-	67,876,343
Total noncurrent liabilities	357,416,157	2,049,195	359,465,352
Total liabilities	405,959,510	2,334,480	408,293,990
Deferred Inflows of Resources			
Property tax	104,295,949	-	104,295,949
Income surtax	6,692,192	-	6,692,192
Pension related amounts	2,834,322	57,841	2,892,163
Other post employment benefit related amounts	1,054,577	-	1,054,577
Total deferred inflows of resources	114,877,040	57,841	114,934,881
Net Position			
Net investment in capital assets	234,857,308	478,029	235,335,337
Restricted for:			
Debt service	1,111,669	-	1,111,669
Federal and state programs	2,920,281	-	2,920,281
Student activities	491,713	-	491,713
Unrestricted	(51,831,446)	2,043,197	(49,788,249)
Total net position	\$ 187,549,525	\$ 2,521,226	\$ 190,070,751

Iowa City Community School District

**Statement of Activities
Year Ended June 30, 2021**

Functions/Programs	Expenses	Program Revenues		
		Charges for Services and Sales	Operating Grants, and Contributions	Capital Grants, and Contributions
Governmental Activities				
Instruction:				
Regular instruction	\$ 98,358,281	\$ 355,959	\$ 19,636,939	\$ -
Special instruction	46,283,815	1,641,469	6,653,529	-
Other instruction	5,386,020	-	193,047	-
	150,028,116	1,997,428	26,483,515	-
Support services:				
Student services	7,200,995	-	-	-
Instructional services	12,106,312	-	-	-
Administration services	18,599,999	-	-	-
Operation and maintenance	21,217,816	196,360	63,520	768,076
Transportation services	5,074,141	57,286	211,854	-
Other support services, AEA flowthrough	6,829,103	-	6,829,103	-
	71,028,366	253,646	7,104,477	768,076
Noninstructional programs	566,924	-	-	-
Other:				
Long-term debt interest	7,696,492	-	-	-
Depreciation (unallocated), excluding direct depreciation	35,061	-	-	-
	7,731,553	-	-	-
Total governmental activities	229,354,959	2,251,074	33,587,992	768,076
Business-type activities, nutritional services	5,770,183	404,205	5,467,733	-
Total primary government	\$ 235,125,142	\$ 2,655,279	\$ 39,055,725	\$ 768,076
General revenues:				
Property taxes levied for:				
General purposes				
Debt service				
Capital outlay				
Local option sales tax				
Unrestricted state grants				
Unrestricted investment earnings				
Other				
Transfers				
Total general revenues and transfers				
Changes in net position				
Net position, beginning of year, as restated				
Net position, end of year				

See notes to basic financial statements.

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-Type Activities	Total
\$ (78,365,383)	\$ -	\$ (78,365,383)
(37,988,817)	-	(37,988,817)
(5,192,973)	-	(5,192,973)
(121,547,173)	-	(121,547,173)
(7,200,995)	-	(7,200,995)
(12,106,312)	-	(12,106,312)
(18,599,999)	-	(18,599,999)
(20,189,860)	-	(20,189,860)
(4,805,001)	-	(4,805,001)
-	-	-
(62,902,167)	-	(62,902,167)
(566,924)	-	(566,924)
(7,696,492)	-	(7,696,492)
(35,061)	-	(35,061)
(7,731,553)	-	(7,731,553)
(192,747,817)	-	(192,747,817)
-	101,755	101,755
(192,747,817)	101,755	(192,646,062)
85,449,986	-	85,449,986
13,187,465	-	13,187,465
12,318,185	-	12,318,185
16,197,824	-	16,197,824
72,359,885	-	72,359,885
754,505	5,074	759,579
3,632,537	-	3,632,537
(200,000)	200,000	-
203,700,387	205,074	203,905,461
10,952,570	306,829	11,259,399
176,596,955	2,214,397	178,811,352
\$ 187,549,525	\$ 2,521,226	\$ 190,070,751

Iowa City Community School District

**Balance Sheet—Governmental Funds
June 30, 2021**

	General	Physical Plant and Equipment Levy
Assets		
Cash, cash equivalents, and investments	\$ 21,761,592	\$ 3,013,495
Restricted cash	-	-
Receivables:		
Property tax:		
Current year	560,338	96,227
Succeeding year	72,389,732	12,507,850
Income surtax	6,692,192	-
Sales tax	-	-
Other	996,184	-
Due from other governments	10,458,625	-
Due from other funds	150,423	370,968
Prepaid items	1,317,074	69,763
Total assets	\$ 114,326,160	\$ 16,058,303
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable	\$ 1,763,278	\$ 736,623
Salaries and benefits payable	17,373,534	-
Due to other funds	22,924	8,619
Unearned revenue	194,350	-
Total liabilities	19,354,086	745,242
Deferred inflows of resources:		
Unavailable revenue—property tax	72,389,732	12,507,850
Unavailable revenue—income surtax	6,692,192	-
Unavailable revenue—sales tax	-	-
Total deferred inflows of resources	79,081,924	12,507,850
Fund balance:		
Nonspendable	1,316,399	69,763
Restricted	2,920,281	2,735,448
Unassigned	11,653,470	-
Total fund balances	15,890,150	2,805,211
Total liabilities, deferred inflows of resources and fund balances	\$ 114,326,160	\$ 16,058,303

See notes to basic financial statements.

Capital Projects	General Obligation Bonds	Debt Service	Nonmajor Governmental Funds	Total Governmental Funds
\$ - 1,770,109	\$ 25,455,199 -	\$ 611,235 -	\$ 2,899,975 -	\$ 53,741,496 1,770,109
-	-	103,017	28,898	788,480
-	-	12,929,522	6,449,990	104,277,094
-	-	-	-	6,692,192
2,093,103	-	-	-	2,093,103
-	-	-	9,721	1,005,905
1,217,850	-	-	-	11,676,475
22,924	-	-	830	545,145
276,213	337	-	-	1,663,387
<u>\$ 5,380,199</u>	<u>\$ 25,455,536</u>	<u>\$ 13,643,774</u>	<u>\$ 9,389,414</u>	<u>\$ 184,253,386</u>
\$ 1,857,138 20,151 - -	\$ 4,955,176 2,010 1,179 -	\$ - - - -	\$ 151,862 - 476,363 -	\$ 9,464,077 17,395,695 509,085 194,350
<u>1,877,289</u>	<u>4,958,365</u>	<u>-</u>	<u>628,225</u>	<u>27,563,207</u>
-	-	12,929,522	6,468,845	104,295,949
-	-	-	-	6,692,192
2,093,103	-	-	-	2,093,103
<u>2,093,103</u>	<u>-</u>	<u>12,929,522</u>	<u>6,468,845</u>	<u>113,081,244</u>
276,213 1,133,594 -	337 20,496,834 -	- 714,252 -	- 2,292,344 -	1,662,712 30,292,753 11,653,470
<u>1,409,807</u>	<u>20,497,171</u>	<u>714,252</u>	<u>2,292,344</u>	<u>43,608,935</u>
<u>\$ 5,380,199</u>	<u>\$ 25,455,536</u>	<u>\$ 13,643,774</u>	<u>\$ 9,389,414</u>	<u>\$ 184,253,386</u>

Iowa City Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2021

Total governmental fund balances		\$	43,608,935
Amounts reported for governmental activities in the statement of net position are different because:			
Capital assets, net of accumulated depreciation, used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.			478,573,954
Other long-term assets are not available to pay for current period expenditures and, therefore, are reported as a deferred inflow of resources in the funds.			2,093,103
Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position:			
Current assets	\$	20,043,934	
Liabilities		(1,657,759)	18,386,175
Internal service funds allocated to business-type activities			(1,153,846)
Accrued interest payable on long-term liabilities is not due and payable in the current period and, therefore, is not reported as a liability in the governmental funds.			(736,177)
Deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:			
Deferred outflows, pension		26,857,912	
Deferred outflows, other post employment benefit		319,820	
Deferred inflows, pension		(2,834,322)	
Deferred inflows, other post employment benefit		(1,054,577)	23,288,833
Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds:			
General obligation bonds, current		(6,585,000)	
General obligation bonds, noncurrent		(164,020,000)	
Capital loan notes, current		(880,000)	
Capital loan notes, noncurrent		(2,765,000)	
Sales tax revenue bonds, current		(8,225,000)	
Sales tax revenue bonds, noncurrent		(66,205,000)	
Early retirement, current		(2,375,381)	
Net pension liability		(100,410,162)	
Total other postemployment benefits liability		(11,232,609)	
Compensated absences, current		(1,029,914)	
Unamortized premium		(12,783,386)	(376,511,452)
Net position of governmental activities			\$ 187,549,525

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2021**

	General	Physical Plant and Equipment Levy
Revenues:		
Local sources:		
Local tax	\$ 81,652,539	\$ 12,318,185
Tuition	1,621,387	-
Interest	16,335	5,056
Other	2,238,944	545,477
State sources	89,746,350	263,472
Federal sources	15,223,359	-
Total revenues	190,498,914	13,132,190
Expenditures:		
Current:		
Instruction:		
Regular instruction	78,012,673	-
Special instruction	43,849,396	-
Other instruction	2,183,242	-
	124,045,311	-
Support services:		
Student services	6,838,597	-
Instructional services	11,750,560	-
Administration services	15,067,676	-
Operation and maintenance	16,707,117	225,172
Transportation services	3,728,385	1,143,619
Other support services, AEA flowthrough	6,829,103	-
	60,921,438	1,368,791
Noninstructional programs	17,427	-
Capital outlay	-	6,834,272
Debt service:		
Principal	-	-
Interest and fiscal charges	-	-
	-	-
Total expenditures	184,984,176	8,203,063
Excess (deficiency) of revenues over expenditures	5,514,738	4,929,127
Other financing sources (uses):		
Transfers in	-	-
Transfers out	(950,000)	(2,958,163)
Proceeds from sale of capital assets	-	25,000
Total other financing sources (uses)	(950,000)	(2,933,163)
Net change in fund balances	4,564,738	1,995,964
Fund balances, beginning of year, as restated	11,325,412	809,247
Fund balances, end of year	\$ 15,890,150	\$ 2,805,211

See notes to basic financial statements.

Capital Projects	General Obligation Bonds	Debt Service	Nonmajor Governmental Funds	Total Governmental Funds
\$ -	\$ -	\$ 13,187,465	\$ 3,797,447	\$ 110,955,636
-	-	-	-	1,621,387
12,774	582,567	1,406	1,472	619,610
244,937	484,534	-	1,826,003	5,339,895
14,539,517	-	282,065	98,036	104,929,440
-	-	-	-	15,223,359
14,797,228	1,067,101	13,470,936	5,722,958	238,689,327
-	-	-	916,156	78,928,829
-	-	-	-	43,849,396
-	-	-	2,130,971	4,314,213
-	-	-	3,047,127	127,092,438
-	-	-	-	6,838,597
-	-	-	-	11,750,560
-	-	7,000	976,344	16,051,020
865	-	-	2,384,316	19,317,470
-	-	-	199,884	5,071,888
-	-	-	-	6,829,103
865	-	7,000	3,560,544	65,858,638
534,000	-	-	-	551,427
7,804,450	44,408,277	-	-	59,046,999
-	-	15,611,196	-	15,611,196
-	-	9,478,749	-	9,478,749
-	-	25,089,945	-	25,089,945
8,339,315	44,408,277	25,096,945	6,607,671	277,639,447
6,457,913	(43,341,176)	(11,626,009)	(884,713)	(38,950,120)
2,000,000	-	12,135,609	750,000	14,885,609
(11,177,446)	-	-	-	(15,085,609)
-	-	-	-	25,000
(9,177,446)	-	12,135,609	750,000	(175,000)
(2,719,533)	(43,341,176)	509,600	(134,713)	(39,125,120)
4,129,340	63,838,347	204,652	2,427,057	82,734,055
\$ 1,409,807	\$ 20,497,171	\$ 714,252	\$ 2,292,344	\$ 43,608,935

Iowa City Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2021

Net change in fund balances, total governmental funds	\$	(39,125,120)
Amounts reported for governmental activities in the statement of activities are different because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, for governmental activities, those costs are shown in the statement of net position and allocated over their estimated useful lives as depreciation expense in the statement of activities. This is the amount by which capital outlay exceeds depreciation expense in the period:		
Capital outlay	\$	51,075,562
Depreciation expense		(12,485,451)
Proceeds on sale of capital assets		(25,000)
Gain on sale of capital assets		25,000
		<u>38,590,111</u>
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.		1,658,307
Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities. Also, governmental funds report the effect of premiums when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities. in the statement of net position and does not affect the statement of activities.		
Repayment of long-term debt		15,611,196
Amortization of bond premium		1,729,348
Interest on long-term debt in the statement of activities differs from the amount reported in governmental funds because interest is recorded as an expenditure in the funds when due. In the statement of activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.		
		52,909
Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds:		
Other postemployment benefits expense		(504,559)
Pension expense		(4,346,012)
Change in early retirement		(1,435,880)
Change in compensated absences		62,314
		<u>(6,224,137)</u>
Internal service funds are used by management to charge the costs of certain activities to individual funds. The change in net position in the internal service fund is reported with governmental activities in the statement of activities.		
		(1,334,920)
Change in Internal Service Fund allocation to business-type activities.		<u>(5,124)</u>
Change in net position of governmental activities	\$	<u>10,952,570</u>

See notes to basic financial statements.

Iowa City Community School District

Statement of Net Position Proprietary Funds June 30, 2021

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Assets		
Current assets:		
Cash, cash equivalents, and investments	\$ 2,291,100	\$ 20,043,934
Due from other governments	371,313	-
Inventories	107,198	-
Total current assets	2,769,611	20,043,934
Noncurrent assets, capital assets, net of accumulated depreciation	478,029	-
Total assets	3,247,640	20,043,934
Deferred outflows of resources, pension related amounts	548,121	-
Total assets and deferred outflows of resources	\$ 3,795,761	\$ 20,043,934
Liabilities		
Current liabilities:		
Accounts payable	\$ 38,744	\$ 2,500
Salaries and benefits payable	29,400	-
Due to other funds	36,060	-
Claims payable	-	1,655,259
Unearned revenue	217,141	-
Total current liabilities	321,345	1,657,759
Noncurrent liabilities, net pension liability	2,049,195	-
Total liabilities	2,370,540	1,657,759
Deferred inflows of resources, pension related amounts	57,841	-
Net position		
Investment in capital assets	478,029	-
Unrestricted	889,351	18,386,175
Total net position	1,367,380	18,386,175
Total liabilities, deferred inflows of resources and net position	\$ 3,795,761	\$ 20,043,934
Total enterprise funds net position	\$ 1,367,380	
Amounts reported for business-type activities in the statement of net position are different because:		
Internal service funds are used by management to charge the costs of certain services to individual funds. Certain assets and liabilities of the internal service funds are included in business-type activities in the statement of net position.	1,153,846	
Net position of business-type activities	\$ 2,521,226	

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2021**

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Operating revenue:		
Charges for services:		
Food sales	\$ 404,205	\$ -
Internal service charges	-	14,841,842
Employee contributions	-	3,195,050
Total operating revenue	404,205	18,036,892
Operating expenses:		
Food consumed	1,966,077	-
Salaries and benefits	3,070,701	-
Supplies, services and repairs	268,046	-
Depreciation	63,378	-
Food and meal delivery:		
Salaries and benefits	383,282	-
Truck expenses	9,560	-
Depreciation	14,263	-
Claims, losses and administrative fees	-	19,402,824
Other	-	103,884
Total operating expenses	5,775,307	19,506,708
Operating income (loss)	(5,371,102)	(1,469,816)
Nonoperating revenues:		
Federal appropriations	5,071,782	-
State appropriations	24,688	-
Federal food commodities	371,263	-
Interest income	5,074	134,896
Total nonoperating revenues	5,472,807	134,896
Operating transfers in	200,000	-
Changes in net position	301,705	(1,334,920)
Net position, beginning of year	1,065,675	19,721,095
Net position, end of year	\$ 1,367,380	\$ 18,386,175

See notes to basic financial statements.

Iowa City Community School District

**Reconciliation of Changes in Net Position of Enterprise Fund to the
Statement of Activities
Year Ended June 30, 2021**

Net changes in net position in the enterprise fund	\$	301,705
Amounts reported for proprietary activities in the statement of activities are different because:		
Internal service funds are used by management to charge the costs of various activities internally to individual funds. The net expense of certain activities of internal service funds is reported with business-type activities.		<u>5,124</u>
Change in net position of business-type activities	\$	<u><u>306,829</u></u>

See notes to basic financial statements.

Iowa City Community School District

Statement of Cash Flows Proprietary Funds Year Ended June 30, 2021

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sales of breakfasts and lunches	\$ 373,790	\$ -
Cash received from charges for service	-	14,841,842
Cash received from employees for benefits	-	3,195,050
Cash payments to suppliers for goods and services	(1,774,596)	(103,884)
Cash payments to employees for services	(2,354,041)	-
Cash payments for employee benefits	(1,020,082)	-
Cash payments for claims, losses and administrative fees	-	(19,280,915)
Net cash used in operating activities	(4,774,929)	(1,347,907)
Cash flows from noncapital financing activities:		
Operating grants received	5,039,900	-
Transfers from other funds	200,000	-
Proceeds from interfund accounts	-	25,624
Payments to interfund accounts	(240,744)	-
Net cash provided by noncapital financing activities	4,999,156	25,624
Cash flows from capital and related financing activities, acquisition of capital assets	(103,302)	-
Cash flows from investing activities, interest on cash and cash equivalents	5,074	134,896
Net increase (decrease) in cash and cash equivalents	125,999	(1,187,387)
Cash and cash equivalents:		
Beginning	2,165,101	21,231,321
Ending	\$ 2,291,100	\$ 20,043,934
Operating loss	\$ (5,371,102)	\$ (1,469,816)
Adjustments to reconcile operating loss to net cash used in operating activities:		
Depreciation	77,641	-
Federal food commodities consumed	371,263	-
Change in assets and liabilities:		
Decrease in purchased inventory	99,806	-
Decrease in prepaid expenses and deposits	2,643	-
(Decrease) increase in accounts payable	(4,625)	2,500
Decrease in salaries and benefits payable	(7,234)	-
Decrease in unearned revenue	(30,415)	-
Increase in net pension liability	328,600	-
Decrease in deferred outflows of resources	(39,462)	-
Decrease in deferred inflows of resources	(202,044)	-
Increase in claims payable	-	119,409
Total adjustments	596,173	121,909
Net cash used in operating activities	\$ (4,774,929)	\$ (1,347,907)
Noncash item, noncapital financing activities, food commodities donated to the District from the U.S. Department of Agriculture	\$ 371,263	\$ -

See notes to basic financial statements.

Iowa City Community School District

Statement of Fiduciary Net Position
Fiduciary Funds
June 30, 2021

	Private Purpose Trust Fund
	Winbigler Estate Trust Fund
Assets	
Cash and cash equivalents	\$ 71,576
Total assets	<u>71,576</u>
Liabilities	<u>-</u>
Net Position	
Restricted for students in need of financial assistance	<u>\$ 71,576</u>

See notes to basic financial statements.

Iowa City Community School District

Statement of Changes in Fiduciary Net Position
Fiduciary Funds
Year Ended June 30, 2021

	Private Purpose Trust Fund Winbigler Estate Trust Fund
Net position, beginning of year, as restated	71,576
Net position, end of year	<u>\$ 71,576</u>

See notes to basic financial statements.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

Nature of operations: The Iowa City Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The geographic area served includes the cities of Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

Reporting entity: For financial reporting purposes, the Iowa City Community School District has included all funds, organizations, agencies, boards, commissions and authorities for which the District is financially accountable. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on the organization, or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. In addition, the GASB issued Statement No. 39, which sets forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the Organization and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. Based on these criteria, the District is considered a primary government and there are no other organizations or agencies whose financial statements should be combined and presented with these basic financial statements.

The District participates in several jointly governed organizations for which the District is not financially accountable or that the nature and significance of the relationships with the District are such that exclusion does not cause the District's financial statements to be misleading or incomplete. Among those organizations are the Johnson County Conference Board, Iowa City Conference Board, Johnson County Compensation Board and the Iowa City Assessors Examining Board.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor governmental funds and nonmajor enterprise funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows of resources, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental Fund Types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets, liabilities and deferred inflows/outflows of resources is reported as fund balance. The following are the District's major governmental funds:

General Fund: is the general operating fund of the District. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. The general operating expenses of the District, including instructional, support and other costs, are paid from the fund.

Physical Plant and Equipment Levy Fund: a capital projects fund, accounts for the property taxes levied and collected by the District to be used for the purchase and improvement of grounds; purchase, construction and remodeling of buildings; and major equipment purchases. This fund is considered major for public interest purposes.

Capital Projects Fund: a capital projects fund, is used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by the voters in the District. Revenues of the Fund primarily consist of state-wide sales taxes. This fund is considered major for public interest purposes.

General Obligation Bonds Fund: a capital projects fund, used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by voters in the District. Revenue of the fund consists of sale of general obligation bonds.

Debt Service Fund: accounts for property taxes levied and collected for the payment of general long-term debt principal, interest and related costs. This fund is considered major for public interest purposes.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Accounts for the revenue sources that are legally restricted to expenditures for specific purposes.

Management Fund: Accounts for property taxes levied and collected which are restricted for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

Student Activity Fund: Accounts for money held by the District which is restricted on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular or extracurricular activities of the District.

Proprietary Fund Types: Proprietary fund types are used to account for the District's ongoing operations and activities which are similar to those often found in the private sector. They are accounted for on the flow of economic resources measurement focus and use the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time the liabilities are incurred.

Enterprise Funds: Enterprise funds are used to account for those operations for which a fee is charged to external users for goods and/or services. The following enterprise fund of the District is considered nonmajor.

School Nutrition Fund: Accounts for the food service operations of the District.

Internal Service Fund: The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance and dental plan for District employees and retirees.

The District also reports the following fiduciary fund type:

Private Purpose Trust Fund: This fund is utilized to account for assets held by the District in a fiduciary capacity according to the terms of the donor's request of granting scholarships at City High School.

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the "economic resources measurement focus" and accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax and income surtax is recognized as revenue in the year for which it is levied and budgeted for. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Property tax when levied and budgeted for, other taxes and intergovernmental revenues when eligibility requirements have been met (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be measurable and are recognized as revenue, if available. All other revenue items are recognized only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension contributions and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. When program expenses are incurred and there are both restricted and unrestricted net position available to finance the program it is the District's policy to first apply cost-reimbursement grant resources to such programs then the general revenues.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, depreciation on capital assets and claims. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Cash, cash equivalents and investments: The cash balances of most District funds are nonpooled and separately invested. Investments in the Iowa Schools Joint Investment Trust and nonnegotiable certificates of deposit are stated at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the date of purchase have a maturity date of no more than three months.

Property tax and income surtax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Education.

Current year property tax receivable represents unpaid taxes related to April 2020 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1½% per month penalty for delinquent payments. This tax levy is based on January 1, 2019 assessed property valuations and is revenue for fiscal year ended June 30, 2021.

The succeeding year property tax receivable represents taxes certified by the Board of Education in April 2021. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2022, the year for which it is levied and budgeted for.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The income surtax receivable represents the fiscal year 2021 levy which will be collected by the District in fiscal year 2022. Although the income surtax receivable has been recorded as of June 30, 2021, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2022, the year for which it is levied and budgeted for.

Due from other governments: Due from other governments represent amounts due from the state of Iowa, other school districts, and other various grants, reimbursements and shared revenues.

	General	Capital Projects	Nonmajor Enterprise
Due from other governments:			
Federal	\$ 9,789,481	\$ -	\$ 371,313
State	282,956	-	-
Local option sales tax	-	1,217,850	-
Other	386,188	-	-
	<u>\$ 10,458,625</u>	<u>\$ 1,217,850</u>	<u>\$ 371,313</u>

Prepaid items: Prepaid items consist primarily of insurance costs paid for the succeeding year and are recorded as prepaid expenses in both government-wide and fund financial statements on the consumption method.

Inventories: Inventories of the enterprise fund consist of food. The inventories are valued on a first-in, first-out basis, with purchased inventory valued at the lower of cost or market and government-contributed commodities valued at the acquisition value as of the date received. Unused commodities at balance sheet date are reported as inventory.

Capital assets: Capital assets, which include land, construction-in-progress, buildings, improvements, furniture, equipment and vehicles, are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position and the proprietary fund statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at estimated acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of one year.

Description:	Threshold
Buildings and improvements other than buildings	\$ 2,500
Furniture and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	2,500
Vehicles	2,500

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

	<u>Estimated Lives</u>
Description:	
Buildings	50 years
Improvements other than buildings	20 years
Furniture and equipment:	
School Nutrition Fund equipment	12 years
Other furniture and equipment	5 years
Vehicles:	
School Nutrition Fund vehicles	5 years
Other vehicles	7 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Deferred outflows of resources: Deferred outflows of resources on the statement of net position represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, pension contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities. Incurred but unpaid payroll expense for all employees as of June 30, 2021, has also been accrued as a liability as of June 30, 2021.

Unearned revenue: Unearned revenue consists of grant awards received but unearned by the fulfillment of an eligibility provision and cash received in the School Nutrition Fund for meals to be provided during fiscal year 2022.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from three sources: property taxes, income surtaxes and intergovernmental revenue. The amounts related to intergovernmental revenue are deferred and recognized as an inflow of resources in the period that the amounts become available. In both the District's government-wide and governmental fund financial statements, property tax revenue and income surtaxes for the succeeding year are reported as a deferred inflow of resources and will become an inflow in the year they are levied and budgeted for. The District's statement of net position also includes unrecognized pension and OPEB related amounts as a deferred inflow.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Compensated absences: District employees with a contract of 200 days or more accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental funds only for employees that have resigned or retired which is considered due. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2021. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

Self-insurance: The District is self-insured for health and dental benefits. The District's premiums and claims are accounted for in the Internal Service Fund. Premiums are charged by the Internal Service Fund to operating funds based upon number of employees and selected coverage in each fund.

Long-term liabilities: In the governmental fund financial statements, principal and interest on long-term debt, early retirement payments, other postemployment benefits and compensated absences are recognized as liabilities only when payment has matured or becomes due. The face amount of debt issued is reported as other financing sources. Premiums/discounts received on debt issuances are reported as other financing sources/uses. Principal payments and bond issuance costs are reported as debt service expenditures. In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. As of June 30, 2021, the District did not have any long-term obligations related to its business-type activities. Bond premiums and deferred amounts on refunding are amortized over the life of the debt using a method which approximates the effective interest method. Bond issuance costs are recognized as an expense in the period they are incurred.

Pensions: The net pension liability, deferred inflows and outflows of resources related to pensions, pension expense, information about the fiduciary net position of the Iowa Public Employees Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB liability: For purposes of measuring the total other postemployment benefit (OPEB) liability, deferred inflows of resources related to OPEB and OPEB expense, information has been based on an actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total of OPEB liability will be paid primarily by the General Fund.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the District's Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts through resolution.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer through the budget process.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to pay the expenditure from restricted fund balance and then from less-restrictive classifications—committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets and also excludes unspent debt proceeds. Unspent debt proceeds for general obligation bonds are \$25,455,199 for governmental activities. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments. No net position was restricted enabling legislation.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control: As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules—Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of functional areas as required by state statute for its legally adopted budget.

Iowa City Community School District

Notes to Basic Financial Statements

Note 2. Cash and Investments

Interest rate risk: As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Credit risk: The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market and checking accounts at the District's authorized depositories; the Iowa Schools Joint Investment Trust Program; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust is rated AAAM with Standard & Poor's Global Ratings. The District's policy does not further limit the District's investments in relation to credit risk.

The Iowa Schools Joint Investment Trust is valued at an amortized cost based on the criteria set forth in GASB No. 79.

Concentration of credit risk: The District's general investment policy is to apply the prudent-person rule. In making investments, the District shall exercise the care, skill, prudence and diligence under the circumstances that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investment in Iowa Schools Joint Investment Trust is not subject to concentration of credit risk.

Custodial credit risk: For deposits, custodial credit risk is the risk that in the event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

As of June 30, 2021, none of the District's deposit bank balance or investments were exposed to custodial credit risk. The District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds. In addition, the District's investments were not insured but were held by the District or its Agent in the District's name.

A reconciliation of cash and investments as shown on the financial statements of the District follows:

Depository accounts	\$ 53,189,164
Certificate of deposits with maturities greater than three months	5,587,205
Iowa Schools Joint Investment Trust	19,141,846
Total cash, cash equivalents and investments	<u>\$ 77,918,215</u>
Government-wide statement of net position—unrestricted	\$ 75,532,830
Government-wide statement of net position—restricted	1,770,109
Statement of fiduciary net position	615,276
Total cash, cash equivalents and investments	<u>\$ 77,918,215</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 3. Interfund Receivables and Payables

Individual interfund receivable and payable balances as of June 30, 2021, are as follows:

Receivable Fund	Payable Fund	Amount
Major Fund, General Fund	Nonmajor Enterprise Fund, School Nutrition Fund	\$ 35,230
Nonmajor Fund, Management Fund	Nonmajor Enterprise Fund, School Nutrition Fund	830
Major Fund, Capital Project Fund	Major Fund, General Fund	22,924
Major Fund, General Fund	Nonmajor Fund, Student Activity Fund	105,395
Major Fund, General Fund	Major Fund, General Obligation Bond Fund	1,179
Major Fund, General Fund	Major Fund, Physical Plant and Equipment Levy	8,619
		<u>\$ 174,177</u>

Interfund balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system and (3) payments between funds are made.

Note 4. Interfund Transfers

Detail of interfund transfers for the year ended June 30, 2021, is as follows:

Transfer To	Transfer From	Amount
Nonmajor Governmental Funds:		
Special Revenue Fund, Student Activity	Major Fund, General Fund	\$ 750,000
Major Fund, Debt Service	Major Fund, Capital Projects Fund	11,177,446
Major Fund, Debt Service	Major Fund, Physical Plant and Equipment Levy	958,163
Major Fund, Capital Projects Fund	Major Fund, Physical Plant and Equipment Levy	2,000,000
Nonmajor enterprise fund, School Nutrition Fund	Major Fund, General Fund	200,000
		<u>\$ 15,085,609</u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorization and (3) to transfer for debt service fund for principal payments on outstanding debt that was issued for school infrastructure purposes.

Iowa City Community School District

Notes to Basic Financial Statements

Note 5. Capital Assets

Capital assets activity for the year ended June 30, 2021, is as follows:

	Balance, Beginning of Year	Increases	Decreases	Balance, End of Year
Governmental Activities:				
Capital assets not being depreciated:				
Land	\$ 15,552,273	\$ -	\$ -	\$ 15,552,273
Construction-in-progress, as restated	80,061,071	40,394,644	39,914,923	80,540,792
Total capital assets not being depreciated	95,613,344	47,232,038	39,914,923	96,093,065
Capital assets being depreciated:				
Buildings	404,793,291	45,489,955	-	450,283,246
Improvements other than buildings	36,789,180	4,233,596	-	41,022,776
Furniture, equipment and vehicles	28,388,358	872,290	54,705	29,205,943
Total capital assets being depreciated	469,970,829	50,595,841	54,705	520,511,965
Less accumulated depreciation for:				
Buildings	90,583,088	9,162,747	-	99,745,835
Improvements other than buildings	11,561,481	1,499,455	-	13,060,936
Furniture, equipment and vehicles	23,455,761	1,823,249	54,705	25,224,305
Total accumulated depreciation	125,600,330	12,485,451	54,705	138,031,076
Total capital assets being depreciated, net	344,370,499	38,110,390	-	382,480,889
Governmental activities capital assets, net, as restated	\$ 439,983,843	\$ 85,342,428	\$ 39,914,923	\$ 478,573,954
Business-Type Activities:				
Capital assets not being depreciated, construction-in-progress	\$ -	\$ 77,600	\$ -	\$ 77,600
Capital assets being depreciated, furniture, equipment and vehicles	1,807,880	25,702	-	1,833,582
Less accumulated depreciation for furniture, equipment and vehicles	1,355,512	77,641	-	1,433,153
Total capital assets being depreciated, net	452,368	(51,939)	-	400,429
Business-type activities capital assets, net	\$ 452,368	\$ 25,661	\$ -	\$ 478,029

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction:	
Regular	\$ 8,373,657
Special	1,067,347
Other	966,080
Support services:	
Administration services	1,580,367
Operation and maintenance	462,939
	12,450,390
Unallocated depreciation, excluding direct depreciation	35,061
Total governmental activities depreciation expense	\$ 12,485,451
Business-type activities, nutritional services	\$ 77,641

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2021 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
General obligation bonds	\$ 176,905,000	\$ -	\$ 6,300,000	\$ 170,605,000	\$ 6,585,000
Sales tax revenue bonds	42,115,000	-	3,900,000	38,215,000	4,100,000
Notes from direct borrowings and direct placements:					
Sales tax revenue bonds	40,380,000	-	4,165,000	36,215,000	4,125,000
Capital loan notes	4,510,000	-	865,000	3,645,000	880,000
Other debt:					
Premium on general obligation bonds	12,406,326	-	1,294,283	11,112,043	-
Premium on sales tax revenue bonds	2,106,408	-	435,065	1,671,343	-
Other liabilities:					
Capital lease	381,196	-	381,196	-	-
Early retirement	939,501	2,375,381	939,501	2,375,381	2,375,381
Total other postemployment benefits liability	10,639,021	594,588	-	11,233,609	-
Net pension liability	84,309,150	16,101,012	-	100,410,162	-
Compensated absences	1,092,228	713,269	775,583	1,029,914	1,029,914
Total	\$ 375,783,830	\$ 19,784,250	\$ 19,055,628	\$ 376,512,452	\$ 19,095,295
Business-type activities, net pension liability	\$ 1,720,595	\$ 328,600	\$ -	\$ 2,049,195	\$ -

Early retirement: The District provided early retirement incentives for certain employees who met certain qualifications as established by the Board of Education. The cost of the incentives is borne by the District in whole. Eligible participants cannot, and do not, contribute to the incentive program.

Early retirement participation is based on the following criteria, but may be adjusted annually to assist management in budgetary restraints:

1. It is available to employees who are at least 55 years of age. The Board of Directors reserves the right to limit the number of early retirements.
2. The employee has completed at least ten (10) years of service to the District and has been actively employed during the school year that they request early retirement benefits.
3. The employee must be eligible for the receipt of IPERS retirement benefits or allowance pursuant to Chapter 97B of the Code of Iowa.
4. The employee submits a written notification of their intent to apply for early retirement benefits prior to March 1 in the year the early retirement is to begin.
5. The benefits offered to District employees shall be a District contribution to a Special Pay Deferral Plan (SPDP) of 50%–60% of current year's base salary depending on years of service and calculated on the average full-time equivalence (FTE) during the years of service.

During the year ended June 30, 2021, 43 District employees requested early retirement, to be payable during the year ending June 30, 2022. The benefits to be paid to these employees will be made in October 2021 and January 2022 and the total of \$2,375,381 are generally liquidated from the Management Fund. During the year ended June 30, 2021, the District paid \$939,501 of early retirement benefits approved during the year ended June 30, 2020 from the Management Fund.

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

Compensated absences: Compensated absences are generally liquidated by the General Fund. The District's liability for compensated absences is expected to be utilized or paid out within one year.

Bonds payable: Details of the District's general obligation bond, general obligation notes and revenue bonds indebtedness as of June 30, 2021 are as follows:

On February 11, 2020, the District issued \$65,925,000 in General Obligation Bonds, Series 2020, maturing June 1, 2021 through June 1, 2039 with an interest rate of 2.25% to 5% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District.

Year ending June 30,	General Obligation Bonds - Series 2020		
	Interest Rates	Principal	Interest
2022	5.00%	\$ 1,785,000	\$ 2,140,231
2023	5.00	2,220,000	2,050,981
2024	5.00	2,270,000	1,939,981
2025	5.00	2,740,000	1,826,481
2026	5.00	2,910,000	1,689,481
2027	5.00	3,250,000	1,543,981
2028	5.00	3,415,000	1,381,481
2029	4.00	3,585,000	1,210,731
2030	3.00	3,725,000	1,067,331
2031	3.00	3,840,000	955,581
2032	3.00	3,955,000	840,381
2033	2.25	4,075,000	721,731
2034	2.25	4,165,000	630,044
2035	2.25	4,260,000	536,331
2036	2.38	4,355,000	440,481
2037	2.38	4,460,000	337,050
2038	2.50	4,565,000	231,125
2039	2.50	4,680,000	117,000
		<u>\$ 64,255,000</u>	<u>\$ 19,660,403</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On January 8, 2019, the District issued \$66,645,000 in General Obligation Bonds, Series 2019 maturing June 1, 2020 through June 1, 2038 with an interest rate of 2.75% to 5% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District.

General Obligation Bonds - Series 2019				
Year ending June 30,	Interest Rates	Principal	Interest	
2022	5.00%	\$ 2,760,000	\$ 2,629,975	
2023	2.75	2,840,000	2,491,975	
2024	5.00	2,925,000	2,413,875	
2025	5.00	3,015,000	2,267,625	
2026	5.00	3,110,000	2,116,875	
2027	5.00	3,215,000	1,961,375	
2028	5.00	3,320,000	1,800,625	
2029	5.00	3,435,000	1,634,625	
2030	5.00	3,550,000	1,462,875	
2031	4.00	3,675,000	1,285,375	
2032	4.00	3,810,000	1,138,375	
2033	4.00	3,950,000	985,975	
2034	4.00	4,095,000	827,975	
2035	3.63	4,250,000	664,175	
2036	3.63	4,410,000	510,112	
2037	3.75	4,580,000	350,250	
2038	3.75	4,760,000	178,500	
		<u>\$ 61,700,000</u>	<u>\$ 24,720,562</u>	

On November 29, 2017, the District issued \$58,955,000 in General Obligation Bonds, Series 2017C maturing June 1, 2019 through June 2037 with an interest rate of 2.50% to 5% to finance the remaining projects of the District's facility master plan.

General Obligation Bonds - Series 2017C				
Year ending June 30,	Interest Rates	Principal	Interest	
2022	5.00%	\$ 2,040,000	\$ 1,574,330	
2023	5.00	2,145,000	1,472,330	
2024	5.00	2,250,000	1,365,080	
2025	5.00	2,365,000	1,252,580	
2026	5.00	2,485,000	1,134,330	
2027	4.00	2,605,000	1,010,080	
2028	2.50	2,710,000	905,880	
2029	2.50	2,780,000	838,130	
2030	2.75	2,850,000	768,630	
2031	2.90	2,925,000	690,255	
2032	2.95	3,010,000	605,430	
2033	3.00	3,100,000	516,635	
2034	3.05	3,195,000	423,635	
2035	3.15	3,290,000	326,188	
2036	3.20	3,395,000	222,553	
2037	3.25	3,505,000	113,916	
		<u>\$ 44,650,000</u>	<u>\$ 13,219,982</u>	

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 3, 2014, the District issued \$9,430,000 in General Obligation School Capital Loan Notes, Series, 2014, maturing June 1, 2015 through June 1, 2025 with a interest rates of 2.00% to 2.25% to provide funds to purchase, construct, equip and relocate the One Vision Transitional Schoolhouse; remodel, improve, furnish, and equip Van Allen Elementary; install air-conditioning in and renovate Hoover Elementary; remodel, improve, furnish, and equip Hills Elementary, Weber Elementary and Coralville Central Elementary; Phase I renovation of City High School; and construct, build, furnish and equip East (Hoover) Elementary School. The Notes are general obligations of the District to be paid from a continuing annual levy upon all of the taxable valuation not to exceed one dollar thirty-four cents (\$1.34) per one thousand dollars (\$1,000).

Years ending June 30,	Capital Loan Notes, Series 2014		
	Interest Rates	Principal	Interest
2022	2.00%	\$ 880,000	\$ 75,263
2023	2.00	900,000	57,663
2024	2.00	920,000	39,663
2025	2.25	945,000	21,263
		<u>\$ 3,645,000</u>	<u>\$ 193,852</u>

On August 25, 2015, the District issued \$60,030,000 in Sales Tax Revenue Bonds, maturing June 1, 2016 through June 1, 2029 with interest rates of 3.00% to 5.00% to provide funds to build, furnish and equip a new high school building; to build, furnish, and equip addition(s) to existing school buildings in the District; to remodel, repair, expand and improve existing school buildings in the District. The Bonds are not general obligations of the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Years ending June 30,	Sales Tax Revenue Bonds, Series 2015		
	Interest Rates	Principal	Interest
2022	5.00%	\$ 4,100,000	\$ 1,487,205
2023	5.00	4,300,000	1,282,205
2024	5.00	4,515,000	1,067,205
2025	5.00	4,745,000	841,455
2026	3.00	4,885,000	699,105
2027	3.25	5,045,000	540,343
2028	3.50	5,220,000	363,768
2029	3.55	5,405,000	181,067
		<u>\$ 38,215,000</u>	<u>\$ 6,462,353</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 22, 2016, the District issued \$10,000,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.25% to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2016				
Interest Rates		Principal		Interest
Years ending June 30,				
2022	2.25%	\$ 805,000	\$	156,150
2023	2.25	825,000		138,038
2024	2.25	840,000		119,475
2025	2.25	855,000		100,575
2026	2.25	875,000		81,338
2027	2.25	895,000		61,650
2028	2.25	915,000		41,513
2029	2.25	930,000		20,925
		<u>\$ 6,940,000</u>	<u>\$</u>	<u>719,664</u>

On January 19, 2017, the District issued \$11,185,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.56% to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2017				
Interest Rates		Principal		Interest
Years ending June 30,				
2022	2.56%	\$ 900,000	\$	198,656
2023	2.56	920,000		175,616
2024	2.56	940,000		152,064
2025	2.56	960,000		128,000
2026	2.56	980,000		103,424
2027	2.56	1,000,000		78,336
2028	2.56	1,020,000		52,736
2029	2.56	1,040,000		26,624
		<u>\$ 7,760,000</u>	<u>\$</u>	<u>915,456</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On August 2, 2017, the District issued \$21,200,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.38% to provide funds to construct, build furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2017B				
Years ending June 30,	Interest Rates	Principal	Interest	
2022	2.38%	\$ 1,680,000	\$ 356,167	
2023	2.38	1,730,000	316,183	
2024	2.38	1,785,000	275,009	
2025	2.38	1,840,000	232,526	
2026	2.38	1,895,000	188,734	
2027	2.38	1,950,000	143,633	
2028	2.38	2,010,000	97,223	
2029	2.38	2,075,000	49,385	
		<u>\$ 14,965,000</u>	<u>\$ 1,658,860</u>	

On June 26, 2018, the District issued \$9,085,000 in Sales Tax Revenue Bonds, maturing June 1, 2019 through June 1, 2029 with interest rates of 3.30% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2018				
Years ending June 30,	Interest Rates	Principal	Interest	
2022	3.30%	\$ 740,000	\$ 216,150	
2023	3.30	750,000	191,730	
2024	3.30	775,000	166,980	
2025	3.30	800,000	141,405	
2026	3.30	830,000	115,005	
2027	3.30	855,000	87,615	
2028	3.30	885,000	59,400	
2029	3.30	915,000	30,195	
		<u>\$ 6,550,000</u>	<u>\$ 1,008,480</u>	

The District has pledged a portion of future sales tax revenues to repay \$60,030,000 in sales tax increment bonds issued in August 2015, \$10,000,000 in sales tax revenue bonds issued December 2016 and \$11,185,000 in sales tax revenue bonds issued January 2017, \$21,200,000 in sales tax revenue bonds issued August 2017 and \$9,085,000 in sales tax revenue bonds issued June 2018. The bonds are payable solely from the sales taxes received by the District. Total principal and interest remaining on the bonds is \$85,194,813, payable through 2029. For the current year, principal and interest paid and total incremental sales tax revenues were \$10,781,933 and \$14,539,517, respectively.

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

A summary of the District's general obligation bonds, capital loan notes and sales tax revenue bonds principal and interest maturities are as follows:

Year ending June 30,	General Obligation Bonds		Capital Loan Notes		Sales Tax Revenue Bonds	
	Principal	Interest	Principal	Interest	Principal	Interest
2022	\$ 6,585,000	\$ 6,344,536	\$ 880,000	\$ 75,263	\$ 8,225,000	\$ 2,414,328
2023	7,205,000	6,015,286	900,000	57,663	8,525,000	2,103,772
2024	7,445,000	5,718,936	920,000	39,663	8,855,000	1,780,733
2025	8,120,000	5,346,686	945,000	21,263	9,200,000	1,443,961
2026	8,505,000	4,940,686	-	-	9,465,000	1,187,606
2027	9,070,000	4,515,436	-	-	9,745,000	911,577
2028	9,445,000	4,087,986	-	-	10,050,000	614,640
2029	9,800,000	3,683,486	-	-	10,365,000	308,196
2030	10,125,000	3,298,836	-	-	-	-
2031	10,440,000	2,931,211	-	-	-	-
2032	10,775,000	2,584,186	-	-	-	-
2033	11,125,000	2,224,341	-	-	-	-
2034	11,455,000	1,881,654	-	-	-	-
2035	11,800,000	1,526,694	-	-	-	-
2036	12,160,000	1,173,146	-	-	-	-
2037	12,545,000	801,216	-	-	-	-
2038	9,325,000	409,625	-	-	-	-
2039	4,680,000	117,000	-	-	-	-
2040	-	-	-	-	-	-
	<u>\$170,605,000</u>	<u>\$ 57,600,947</u>	<u>\$ 3,645,000</u>	<u>\$ 193,852</u>	<u>\$ 74,430,000</u>	<u>\$ 10,764,813</u>

As of June 30, 2021, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	<u>\$ 11,749,782,715</u>
Debt limit, 5% of total assessed valuation	\$ 587,489,136
Amount of debt applicable to debt limitation, general obligation bonds and capital loan notes	<u>174,250,000</u>
Excess of debt limit over debt outstanding, legal debt margin	<u>\$ 413,239,136</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits

Plan description: IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension benefits: A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service
- The member's highest five-year salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payment.

Disability and death benefits: A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Contributions: Contribution rates are established by IPERS following the annual actuarial valuation which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2021, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2021 totaled \$11,225,005.

Pension liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions: At June 30, 2021, the District reported a liability of \$102,459,357 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating governments, actuarially determined. At June 30, 2020, the District's proportion was 1.4586% a decrease of 0.0271% from its proportion measured as of June 30, 2019. Net pension liability attributable to governmental activities are generally liquidated by the general fund and management fund.

For the year ended June 30, 2021, the District recognized pension expense of \$4,518,378. At June 30, 2021, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 113,188	\$ (2,428,557)
Changes of assumptions	5,259,224	-
Net difference between projected and actual earnings on pension plan investments	5,759,863	-
Changes in proportion and differences between District contributions and proportionate share of contributions	5,048,753	(463,606)
Total deferred amounts to be recognized in pension expense in future periods	16,181,028	(2,892,163)
District contributions subsequent to measurement date	11,225,005	-
Total	\$ 27,406,033	\$ (2,892,163)

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Deferred pension outflows totaling \$11,225,005 resulting from the District contributions subsequent to the measurement date, will be recognized as a reduction of the net pension liability in the year ended June 30, 2022. The deferred outflows and deferred inflows resulting from the difference between projected and actual earnings on pension plan investments will be recognized as a reduction of pension expense over five years. The deferred outflows resulting from differences between expected and actual experience, the deferred outflows resulting from changes of assumptions and the deferred outflows and deferred inflows resulting from changes in proportion and differences between District contributions and proportionate share of contributions will be recognized in pension expense using the average expected remaining service lives of all IPERS members. The average is determined by taking the calculated total future service years of the Plan divided by the number of the people in the Plan including retirees.

Deferred outflows of resources and deferred inflows of resources will be recognized in pension expense as follows:

Years ending June 30:

2022	\$ 2,982,666
2023	3,449,064
2024	3,044,306
2025	3,783,970
2026	100,133
Thereafter	(71,274)
	<u>\$ 13,288,865</u>

Actuarial assumptions: The total pension liability in the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum
Rates of salary increases (effective June 30, 2017)	3.25% to 16.25%, average, including inflation. Rates vary by membership group.
Long-term effective investment rate of return (effective June 30, 2017)	7.00%, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25%, per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2020 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2018.

Mortality rates used in the 2020 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	28.0%	(0.29%)
Domestic equity	22.0	4.43
International equity	17.5	5.15
Global smart beta equity	6.0	4.87
Private equity	11.0	6.54
Private real assets	7.5	4.48
Public credit	4.0	2.29
Private credit	3.0	3.11
Cash	1.0	(0.78)
	<u>100.0%</u>	

Discount rate: The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1-percentage-point higher (8.00%) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 170,842,929	\$ 102,459,357	\$ 45,121,436

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report; which can be located at www.ipers.org.

Payables to the pension plan: At June 30, 2021, the District reported payables to the defined benefit pension plan of \$2,046,067 for legally required employer contributions and legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

The Iowa City Community School District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees and natural disasters.

Workers' Compensation, Property, General Liability and Other Insurance: The District is a member of the Iowa Public School Insurance Program (IPSIP), a public entity risk pool formed in July of 2012 between certain Iowa school districts, created in accordance with Chapter 28E of the Code of Iowa. The purpose of IPSIP is to jointly provide or obtain casualty, property, employer liability, general liability, risk management, professional liability, group coverage and other protections so as to effectively manage and contain costs for insurance coverage and related administration. IPSIP has 20 members as of July 1, 2020. IPSIP is governed by an eleven-member board of directors elected by the members of IPSIP. The District has no direct control over budgeting, financing, the governing body or management selection.

IPSIP is not intended to function as an insurance company for the participants; rather, it is a means of combining the administration of claims and of obtaining lower insurance rates through the creation of a self-insurance pool and through the purchase of commercial insurance. The District's participation in IPSIP represents a risk-sharing pool as defined by GASB Statement No. 10 in which the District pools its risks and funds with other members and shares in the cost of losses. The District is required to make annual payments, which are determined by IPSIP, based upon its direct proportion to the pro rata share of insurance costs for coverage administered by IPSIP. IPSIP may require the participating Districts to make supplemental payments if the funds on hand are insufficient to pay expenses of the administration of IPSIP. The District was not required to make any supplemental payments to IPSIP in fiscal years 2021 or 2020. Payments to IPSIP by the District in order to maintain adequate insurance coverage in fiscal year 2021 was \$2,329,366.

Employee Health Insurance: During the year ended June 30, 2021, employees of the District were covered by the District's health and dental self-insurance plan. The contributions made by the District are part of the negotiated agreements with specific employee groups. Employees authorize payroll withholdings to pay contributions for dependents or increased coverage. Claims were paid by a third-party administrator acting on behalf of the District. The plans are authorized by Chapter 509A of the Code of Iowa.

The administrative contract between the District and the third-party administrator is renewable annually and administrative fees and stop loss premiums are included in the contractual provisions. In accordance with state statute, the District was protected against unanticipated catastrophic individual or aggregate loss by stop loss coverage from a private insurance company. Stop loss coverage was in effect for individual claims that exceeded \$250,000 and for an aggregate amount of 125% of expected claims.

Iowa City Community School District

Notes to Basic Financial Statements

Note 8. Risk Management (Continued)

All claim handling procedures are performed by an independent claims administrator. Liabilities are recognized when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Recognized liabilities include a provision for all estimated claims incurred but not reported. Changes in the medical claims liability amounts for the years ended June 30, 2021 and 2020 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claims Payments	Ending
Health:				
2021	\$ 1,535,850	\$ 17,062,327	\$ 16,942,917	\$ 1,655,260
2020	1,540,529	15,672,190	15,676,869	1,535,850

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of media, educational services and special education services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$6,829,103 for the year ended June 30, 2020. The District's actual constructive revenue and constructive expenses are included in the General Fund.

Note 10. Commitments

As of June 30, 2021, the District had outstanding construction commitments totaling approximately \$13,821,895, which will be paid with bond proceeds, property taxes and sales taxes.

Note 11. Nonvested Employee Benefits

District employees accumulate sick leave hours for subsequent use and can be carried over in limited amounts for use in future years. The contingent liability for this sick leave is approximately \$40,417,000 as of June 30, 2021. This liability does not vest and is not included as a liability in the statement of net position. This contingent liability has been computed based on rates of pay as of June 30, 2021.

Note 12. Contingencies

As of June 30, 2021, the District is involved in various claims and lawsuits against the District that arise in the normal course of operations, which are covered by insurance. The outcome and eventual liability of the District, if any, from these claims and any unasserted claims is not known at this time; however, management does not believe they will be material to the basic financial statements.

Note 13. Jointly Governed Organization

The District is a member of a cooperative agreement with the City of Coralville, Iowa organized under 28E of the Code of Iowa to provide for the operation of a joint swimming pool facility. The mayor of the City of Coralville, Iowa is designated as the administrator of the agreement. Under the agreement, the District is responsible for 30% of the City's costs and expenses in operating and maintaining the facility payable monthly throughout the year. For the fiscal year 2021, monthly payments were approximately \$8,444 per month, which were paid from the Physical Plant and Equipment Levy Fund. The financial statements for the jointly governed organization can be found in the City of Coralville, Iowa Annual Comprehensive Financial Report. The report may be obtained by writing to the City of Coralville, Iowa, 1512 7th St., Coralville, Iowa 52241.

Iowa City Community School District

Notes to Basic Financial Statements

Note 14. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, a single health care plan provides OPEB for all active and retired employees and their eligible dependents. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75. The plan does not issue a stand-alone financial report.

Benefits provided: As required under Iowa Code Chapter 509A-3, the District provides postemployment health benefits. Health benefits include medical, prescription drug and dental. The benefits are provided until the participant is Medicare eligible, are self-insured by the District and administered through First Administrators, Inc.

Contributions: All participants of the postemployment medical, dental and prescription drug plan are required to contribute an amount equal to the premium equivalent. Since the premium equivalent is developed from the claims experience of active employee and retiree lives, an implicit subsidy is provided to retirees and their spouses. The implicit subsidy results from a lower premium equivalent to what a retiree would otherwise pay had the claims experience been based just on retiree health claims. The full active/retire premiums as of July 1, 2021 are as follows:

Rate Tier	Medical	Dental
Retiree only	\$ 675	\$ 32
Retiree and family	1,400	97

Employees covered by benefit terms: At June 30, 2021, the following employees were covered by the benefit terms:

Inactive employees currently receiving benefits	128
Active employees	1,818
	<u>1,946</u>

Total OPEB Liability

The District's total OPEB liability of \$11,232,609 was measured as of June 30, 2021, and was determined by an actuarial valuation as of June 30, 2020. Total OPEB liability attributable to governmental activities are generally liquidated by the management fund.

Actuarial methods and assumptions:

The total OPEB liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Salary increases	3.5%
Discount rate	2.16%
Health care cost trend rates	6.5% for 2020 decreasing by 0.50% per year to an ultimate rate of 4.5%
Mortality rates	PUB 2010 mortality table with generational scale MP-2019

The discount rate was based on the June 30, 2021 Bond Buyer 20-Bond GO Index.

Iowa City Community School District

Notes to Basic Financial Statements

Note 14. Other Postemployment Benefits (OPEB) (Continued)

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance as of June 30, 2020	\$ 10,639,021
Changes for the year:	
Service cost	1,004,245
Interest	249,513
Changes in assumptions or other inputs	46,032
Contributions and payments made	(706,202)
Net changes	593,588
Balance as of June 30, 2021	\$ 11,232,609

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (1.16%) or 1-percentage-point higher (3.16%) than the current discount rate:

	1% Decrease 1.16%	Discount Rate 2.16%	1% Increase 3.16%
Total OPEB liability	\$ 10,374,000	\$ 11,232,609	\$ 12,176,000

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower (5.5% decreasing to 3.5%) or 1-percentage-point higher (7.5% decreasing to 5.5%) than the current health care cost trend rates:

	(5.50% Decreasing to 3.50%)	Health Care Cost Trend Rates (6.50% Decreasing to 4.50%)	(7.50% Decreasing to 5.50%)
Total OPEB liability	\$ 9,944,000	\$ 11,232,609	\$ 12,785,000

Iowa City Community School District

Notes to Basic Financial Statements

Note 14. Other Postemployment Benefits (OPEB) (Continued)

OPEB Expense and deferred outflows of resources and deferred inflows of resources related to

OPEB: For the year ended June 30, 2021, the District recognized OPEB expense of \$504,559. At June 30, 2021, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following source:

	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ -	\$ (853,421)
Changes of assumptions or other inputs	319,820	(201,156)
	<u>\$ 319,820</u>	<u>\$ (1,054,577)</u>

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense over the average future service to retirement of plan participants as follows:

Years ending June 30:

2022	\$ (42,997)
2023	(42,997)
2024	(42,997)
2025	(42,997)
2026	(42,997)
Thereafter	(519,772)
	<u>\$ (734,757)</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 15. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, establishes criteria for classifying fund balances into specifically defined classifications. The details for the District's fund balances are as follows:

Fund Balances:	General	Physical Plant and Equipment Levy	Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental	Total
Nonspendable, prepaids	\$ 1,316,399	\$ 69,763	\$ 276,213	\$ -	\$ 337	\$ -	\$ 1,662,712
Restricted:							
Categorical funding:							
Gifted and talented program	118,326	-	-	-	-	-	118,326
Home school assistance program	644,776	-	-	-	-	-	644,776
Supplemental weighting	2,027	-	-	-	-	-	2,027
Drop out prevention	34,677	-	-	-	-	-	34,677
State preschool	338,964	-	-	-	-	-	338,964
Beginning Teacher	25,058	-	-	-	-	-	25,058
Teacher salary supplement	252,697	-	-	-	-	-	252,697
Teacher quality market factor	17,147	-	-	-	-	-	17,147
State class size reduction	45,000	-	-	-	-	-	45,000
Rec Ed programs	126	-	-	-	-	-	126
State mentoring	2,310	-	-	-	-	-	2,310
Early Literacy	22,473	-	-	-	-	-	22,473
Teacher quality-core curriculum	839,829	-	-	-	-	-	839,829
Teacher leadership program	556,486	-	-	-	-	-	556,486
Teacher quality	14,140	-	-	-	-	-	14,140
Teacher quality market factor 2008	6,245	-	-	-	-	-	6,245
Debt service	-	-	1,133,594	714,252	-	-	1,847,846
Management levy purposes	-	-	-	-	-	1,800,631	1,800,631
Student activities	-	-	-	-	-	491,713	491,713
Capital improvements and equipment	-	2,735,448	-	-	20,496,834	-	23,232,282
Total restricted	2,920,281	2,735,448	1,133,594	714,252	20,496,834	2,292,344	30,292,753
Unassigned	11,653,470	-	-	-	-	-	11,653,470
Total fund balances	\$ 15,890,150	\$ 2,805,211	\$ 1,409,807	\$ 714,252	\$ 20,497,171	\$ 2,292,344	\$ 43,608,935

Note 16. Tax Abatements

GASB Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action, after the agreement that has been entered into, that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2021 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Coralville	Urban renewal and economic development	\$ 649,032
City of North Liberty	Urban renewal and economic development	209,247
City of Iowa City	Urban renewal and economic development	315,221
City of University Heights	Urban renewal and economic development	283,304
		<u>\$ 1,456,804</u>

The state of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2021, this reimbursement amounted to \$607,456.

Iowa City Community School District

Notes to Basic Financial Statements

Note 17. Adopted and Pending Governmental Accounting Standards Board (GASB) Statements

The District adopted GASB Statement No. 84, *Fiduciary Activities* for the fiscal year ending June 30, 2021. The objective of Statement No. 84 is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. This Statement establishes criteria for identifying fiduciary activities of all state and local governments. The implementation of this standard resulted in the District's custodial fund presenting a statement of changes in fiduciary net position which restated beginning net position.

The GASB has issued several statements not yet implemented by the District. The statements which may impact the District are as follows:

- GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2022, with earlier adoption encouraged. Statement No. 87 establishes a single approach to accounting for and reporting leases by state and local governments. Under this statement, a government entity that is a lessee must recognize (1) a lease liability and (2) an intangible asset representing the lessee's right to use the leased asset. In addition, the District must report the (1) amortization expense for using the lease asset over the shorter of the term of the lease or the useful life of the underlying asset, (2) interest expense on the lease liability and (3) note disclosures about the lease. The Statement provides exceptions from the single-approach for short-term leases, financial purchases, leases of assets that are investments and certain regulated leases. This statement also addresses accounting for lease terminations and modifications, sale-leaseback transactions, non-lease components embedded in lease contracts (such as service agreements), and leases with related parties.
- GASB Statement No. 91, *Conduit Debt Obligations*, will be effective for reporting periods beginning after December 15, 2021. The primary objectives of this Statement are to provide a single method of reporting conduit debt obligations by issuers and eliminate diversity in practice associated with (1) commitments extended by issuers, (2) arrangements associated with conduit debt obligations, and (3) related note disclosures. This Statement achieves those objectives by clarifying the existing definition of a conduit debt obligation; establishing that a conduit debt obligation is not a liability of the issuer; establishing standards for accounting and financial reporting of additional commitments and voluntary commitments extended by issuers and arrangements associated with conduit debt obligations; and improving required note disclosures.
- GASB Statement No. 92, *Omnibus 2020*, issued in January 2020, will be effective for the District fiscal years beginning after June 15, 2021. The objective of Statement No. 92 is to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB statements. This Statement addresses a variety of topics including issues related to leases, postemployment benefits (pensions and other postemployment benefits), fiduciary activities, asset retirement obligations and fair value measurement and application.
- GASB No. 93, *Replacement of Interbank Offered Rates* establishes how the District will report the change of any of its variable payment debt that are tied to the London Interbank Offered Rate (LIBOR) when the LIBOR standard is no longer used after December 31, 2021. This statement will be effective for the District with its year ending June 30, 2022 except for provision relating to the removal of the LIBOR rate, which will be effective for the fiscal year ending June 30, 2023.

Iowa City Community School District

Notes to Basic Financial Statements

Note 17. Adopted and Pending Governmental Accounting Standards Board (GASB) Statements (Continued)

- GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements* will improve financial reporting by addressing issues related to public-private and public-public partnerships and provides guidance for accounting and reporting for availability payment arrangements. This statement will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 96, *Subscription-Based Information Technology Arrangements* provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users. This statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset—an intangible asset—and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosure regarding a SBITA. This statement will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans* will result in more consistent financial reporting of defined contribution pension plans, defined contribution OPEB plans, and other employee benefit plans. This statement will also enhance the relevance, consistency and comparability of (1) the information related to Section 457 plans that meet the definition of a pension plan and the benefits provided through those plans and (2) investment information for all Section 457 plans. Another objective of this statement is to increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform. This statement will be effective for the District with its year ending June 30, 2023.

The District's management has not yet determined the effect of Statement Nos. 87, 91, 92, 93, 94, 96 and 97 will have on the District's financial statements but may have a material effect on the financial statements.

Note 18. Restatement of Net Position Previously Reported

During the year ended June 30, 2021, the District corrected an error related to an overstatement of their construction in progress. Under GASB Statement No. 34, capital assets recorded in Governmental Activities should be recorded at historical cost. The District was double counting costs for construction in progress that were included in accounts payable as of year-end and when the costs were subsequently paid. This caused construction in progress to be overstated.

The impact of the restatement is as follows

	Governmental Activities
Net position, July 1, 2020, as previously reported	\$ 211,773,939
Removal of overstatement of construction in progress	(35,176,984)
Net position, July 1, 2020, as restated	<u>\$ 176,596,955</u>

The impact to the change in net position as of June 30, 2020 was \$6,837,394.

Iowa City Community School District

Notes to Basic Financial Statements

Note 18. Restatement of Net Position Previously Reported (Continued)

As a result of the adoption of GASB Statement No. 84, *Fiduciary Activities*, fund previously reported as agency funds no longer met the definition of a fiduciary activity and are now reported in the General Fund. This restated beginning fund balance in the General Fund and beginning net position in the Governmental Activities as follows:

	Governmental Activities	General Fund
Net position/fund balance, July 1, 2020 as previously reported	\$ 169,759,561	\$ 11,240,140
Adoption of GASB No. 84	85,272	85,272
Net position/fund balance, July 1, 2020 as restated	<u>\$ 169,844,833</u>	<u>\$ 11,325,412</u>

Iowa City Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

	June 30,	
	2021	2020
Measurement date	June 30, 2020	June 30, 2019
District's proportion of the net pension liability	1.4585563%	1.4856643%
District's proportionate share of the net pension liability	\$ 102,459,357	\$ 86,029,745
District's covered payroll	115,729,873	114,566,896
District's proportionate share of the net pension liability as a percentage of its covered payroll	88.53%	75.09%
Plan fiduciary net position as a percentage of the total pension liability	82.90%	84.38%

Note: GASB Statement No. 68 requires 10 years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present for those years which information is available.

June 30,				
2019	2018	2017	2016	2015
June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
1.4412107%	1.3711820%	1.3309690%	1.3168825%	1.3572122%
\$ 91,203,343	\$ 90,521,204	\$ 83,762,076	\$ 65,060,367	\$ 53,825,764
109,010,291	101,421,937	95,494,737	90,210,145	88,810,145
83.66%	89.25%	87.71%	72.12%	60.61%
83.62%	82.21%	81.82%	85.19%	87.61%

Iowa City Community School District

**Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System**

Fiscal year ended June 30,	Statutorily required contribution	Contributions in relation to the statutorily required contribution	Contributions deficiency (excess)	District's covered payroll	Contributions as a percentage of covered payroll
2021	\$ 11,225,005	\$ 11,225,005	\$ -	\$ 118,908,951	9.44%
2020	10,924,900	10,924,900	-	115,729,873	9.44
2019	10,815,115	10,815,115	-	114,566,896	9.44
2018	9,734,619	9,734,619	-	109,010,291	8.93
2017	9,056,979	9,056,979	-	101,421,937	8.93
2016	8,527,680	8,527,680	-	95,494,737	8.93
2015	8,055,766	8,055,766	-	90,210,145	8.93
2014	7,930,746	7,930,746	-	88,810,145	8.93
2013	7,093,021	7,093,021	-	N/A	N/A
2012	6,149,781	6,149,781	-	N/A	N/A

N/A - Information was not available.

Iowa City Community School District

Notes to Required Supplementary Information—Pension Liability Iowa Public Employee's Retirement System

Changes of benefit terms: There are no significant changes in benefit terms.

Changes of assumptions: The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

Iowa City Community School District

Required Supplementary Information

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Last Ten Fiscal Years

	2021	2020	2019	2018
Total OPEB liability				
Service cost	\$ 1,004,245	\$ 1,212,628	\$ 1,107,946	\$ 1,066,666
Interest	249,513	402,823	387,356	352,150
Changes of assumptions or other inputs	46,032	(988,072)	354,106	(245,309)
Benefit payments	(706,202)	(569,938)	(338,147)	(272,000)
Net change in total OPEB liability	593,588	57,441	1,511,261	901,507
Total OPEB liability—beginning	10,639,021	10,581,580	9,070,319	8,168,812
Total OPEB liability—ending	<u>\$ 11,232,609</u>	<u>\$ 10,639,021</u>	<u>\$ 10,581,580</u>	<u>\$ 9,070,319</u>
Covered—employee payroll	\$ 104,937,000	\$ 101,388,150	\$ 113,399,974	\$ 106,067,467
Total OPEB liability as a percentage of covered-employee payroll	11%	10%	9%	9%

Changes of benefit terms: There were no significant changes in benefit terms.

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

2017	3.58%
2018	3.87
2019	3.50
2020	2.21
2021	2.16

Note: This schedule is presented to illustrate the requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

Iowa City Community School District

Required Supplementary Information
Budgetary Comparison Schedule
All Governmental Funds and Enterprise Fund
Year Ended June 30, 2021

	Governmental Fund Types Actual	Enterprise Fund Type Actual	Total Actual
Revenues:			
Local sources	\$ 118,536,528	\$ 409,279	\$ 118,945,807
State sources	104,929,440	24,688	104,954,128
Federal sources	15,223,359	5,443,045	20,666,404
Total revenues	238,689,327	5,877,012	244,566,339
Expenditures:			
Instruction	127,092,438	-	127,092,438
Support services	65,858,638	-	65,858,638
Noninstructional programs	551,427	5,775,307	6,326,734
Other expenditures	84,136,944	-	84,136,944
Total expenditures	277,639,447	5,775,307	283,414,754
Excess of revenues over (under) expenditures/expenses	(38,950,120)	101,705	(38,848,415)
Other financing sources, net	(175,000)	-	(175,000)
Net change in fund balances/net position	(39,125,120)	101,705	(39,023,415)
Fund balances/net position, beginning of year	82,648,783	1,065,675	83,714,458
Fund balances/net position, end of year	<u>\$ 43,523,663</u>	<u>\$ 1,167,380</u>	<u>\$ 44,691,043</u>

See note to required supplementary information.

Budgeted Amounts		Final to Actual Variance- Over (Under)
Original	Final	
\$ 116,400,126	\$ 116,400,126	\$ 2,545,681
105,847,633	105,847,633	(893,505)
11,332,000	11,332,000	9,334,404
233,579,759	233,579,759	10,986,580
120,810,220	126,592,066	500,372
53,373,734	62,188,697	3,669,941
7,808,837	8,172,269	(1,845,535)
72,114,146	103,964,312	(19,827,368)
254,106,937	300,917,344	(17,502,590)
(20,527,178)	(67,337,585)	28,489,170
15,000	15,000	(190,000)
\$ (20,512,178)	\$ (67,322,585)	\$ 28,299,170

Iowa City Community School District

Note to Required Supplementary Information—Budgetary Reporting

The Board of Education annually adopts and certifies a budget by program which includes all funds except for internal service funds, agency funds and private-purpose trust funds on the GAAP basis following required public notice and hearing in accordance with the Code of Iowa. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula (spending authority).

During the year ended June 30, 2021, the Districted adopted one budget amendment which increased the budgeted expenditures by \$46,810,407.

Iowa City Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2021

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Assets			
Cash, cash equivalents, and investments	\$ 2,182,931	\$ 717,044	\$ 2,899,975
Receivables:			
Property tax:			
Current year	28,898	-	28,898
Succeeding year	6,449,990	-	6,449,990
Other	9,721	-	9,721
Due from other funds	830	-	830
Total assets	\$ 8,672,370	\$ 717,044	\$ 9,389,414
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 50,781	\$ 101,081	\$ 151,862
Due to other funds	370,968	105,395	476,363
Total liabilities	421,749	206,476	628,225
Deferred inflows of resources, unavailable revenue—property tax	6,449,990	18,855	6,468,845
Fund balances, restricted	1,800,631	491,713	2,292,344
Total liabilities, deferred inflows of resources and fund balances	\$ 8,672,370	\$ 717,044	\$ 9,389,414

Iowa City Community School District

**Combining Statement of Revenues, Expenditures and Changes in
Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2021**

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Revenues:			
Local sources:			
Local tax	\$ 3,797,447	\$ -	\$ 3,797,447
Other	-	1,826,003	1,826,003
Interest	-	1,472	1,472
State sources	98,036	-	98,036
Total revenues	3,895,483	1,827,475	5,722,958
Expenditures:			
Current:			
Instruction:			
Regular	916,156	-	916,156
Other instruction	-	2,130,971	2,130,971
Support services:			
Administration services	976,344	-	976,344
Operations and maintenance	2,369,650	14,666	2,384,316
Transportation services	-	199,884	199,884
Total expenditures	4,262,150	2,345,521	6,607,671
Excess (deficiency) of revenues over expenditures	(366,667)	(518,046)	(884,713)
Other financing sources, transfers in	-	750,000	750,000
Net change in fund balances	(366,667)	231,954	(134,713)
Fund balances, beginning of year	2,167,298	259,759	2,427,057
Fund balances, end of year	\$ 1,800,631	\$ 491,713	\$ 2,292,344

Iowa City Community School District

Statistical Section Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	72-86
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	87-90
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	91-94
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	95-96
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	97-106

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

Iowa City Community School District

Net Position by Component

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Governmental activities:				
Net investment in capital assets	\$ 118,552,457	\$ 127,010,427	\$ 144,275,207	\$ 176,170,719
Restricted	38,265,060	38,547,315	34,835,478	18,444,336
Unrestricted	26,988,542	28,366,297	21,012,594	(33,554,068)
Total governmental activities net position	\$ 183,806,059	\$ 193,924,039	\$ 200,123,279	\$ 161,060,987
Business-type activities:				
Net investment in capital assets	\$ 372,306	\$ 577,047	\$ 528,075	\$ 518,311
Unassigned	3,340,591	3,227,351	2,983,964	1,418,780
Total business-type activities net position	\$ 3,712,897	\$ 3,804,398	\$ 3,512,039	\$ 1,937,091
Primary government:				
Net investment in capital assets	\$ 118,924,763	\$ 127,587,474	\$ 144,803,282	\$ 176,689,030
Restricted	38,265,060	38,547,315	34,835,478	18,444,336
Unrestricted	30,329,133	31,593,648	23,996,558	(32,135,288)
Total primary government net position	\$ 187,518,956	\$ 197,728,437	\$ 203,635,318	\$ 162,998,078

(1) Unrestricted net position declined significantly in fiscal year 2015 for both governmental and business-type activities due to the impact of GASB 68 compliance and a resulting impact of a new net pension liability of \$53,825,764 shared between governmental and business-type activities at \$52,732,793 and business-type activities at \$1,092,971.

(2) Unrestricted net position in fiscal year 2018 declined significantly for governmental activities due to the impact of GASB 75 compliance and a resulting impact of a new other postemployment benefit liability of \$9,070,319. Unrestricted net position also declined due to purchases of capital assets and issuance of debt in accordance with the District's master Plan.

Fiscal Year					
2016	2017	2018	2019	2020	2021
				(restated)	
\$ 203,709,702	\$ 216,162,177	\$ 232,565,407	\$ 257,625,723	\$ 223,786,832	\$ 234,857,308
36,650,711	14,880,016	3,457,317	6,960,886	8,284,684	4,523,663
(60,864,399)	(32,992,743)	(40,392,948)	(59,302,159)	(55,474,561)	(51,831,446)
\$ 179,496,014	\$ 198,049,450	\$ 195,629,776	\$ 205,284,450	\$ 176,596,955	\$ 187,549,525
\$ 528,403	\$ 513,229	\$ 543,571	\$ 514,491	\$ 452,368	\$ 548,121
1,081,678	1,417,772	1,494,227	1,823,380	1,762,029	1,973,105
\$ 1,610,081	\$ 1,931,001	\$ 2,037,798	\$ 2,337,871	\$ 2,214,397	\$ 2,521,226
\$ 204,238,105	\$ 216,675,406	\$ 233,108,978	\$ 258,140,214	\$ 224,239,200	\$ 235,405,429
36,650,711	14,880,016	3,457,317	6,960,886	8,284,684	4,523,663
(59,782,721)	(31,574,971)	(38,898,721)	(57,478,779)	(53,712,532)	(49,858,341)
\$ 181,106,095	\$ 199,980,451	\$ 197,667,574	\$ 207,622,321	\$ 178,811,352	\$ 190,070,751

Iowa City Community School District

Expenses, Program Revenues and Net (Expense) Revenue Last Ten Fiscal Years (accrual basis of accounting) (Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Expenses:				
Governmental activities:				
Instruction	\$ 91,391,355	\$ 100,951,730	\$ 104,733,457	\$ 100,335,876
Support services:				
Student services	4,612,635	4,942,088	4,686,664	4,499,186
Instructional services	6,708,676	6,962,932	7,427,014	6,446,914
Administration services	10,421,294	11,401,516	12,506,153	12,221,714
Operation and maintenance of plant	13,348,760	14,845,156	15,423,524	14,800,540
Pupil transportation services	5,489,138	5,396,481	5,726,049	5,565,497
Other, primarily AEA flowthrough	4,616,969	4,889,195	5,224,132	5,585,294
Noninstructional programs	93,018	466,024	563,138	605,079
Interest on long-term debt	857,422	390,685	200,128	229,081
Total governmental activities expenses	137,539,267	150,245,807	156,490,259	150,289,181
Business-type activities, nutrition	4,432,821	4,821,834	5,491,953	5,822,005
Total primary government expenses	\$ 141,972,088	\$ 155,067,641	\$ 161,982,212	\$ 156,111,186
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	\$ 3,213,735	\$ 1,891,858	\$ 2,071,749	\$ 1,360,834
Support services	107,478	176,884	205,142	210,215
Operating grants and contributions	21,043,495	20,880,498	20,109,977	24,461,796
Capital grants and contributions	-	1,889,776	207,457	939,553
Total governmental activities program revenues	24,364,708	24,839,016	22,594,325	26,972,398
Business-type activities:				
Charges for services, nutrition	2,244,238	2,245,333	2,260,342	2,320,574
Operating grants and contributions	2,358,944	2,662,433	2,929,125	3,212,336
Total business-type program revenues	4,603,182	4,907,766	5,189,467	5,532,910
Total primary government program revenues	\$ 28,967,890	\$ 29,746,782	\$ 27,783,792	\$ 32,505,308
Net (expense) revenue:				
Governmental activities	\$ (113,174,559)	\$ (125,406,791)	\$ (133,895,934)	\$ (129,078,091)
Business-type activities	170,361	85,942	(302,486)	(289,094)
Total primary government net expense	\$ (113,004,198)	\$ (125,320,849)	\$ (134,198,420)	\$ (129,367,185)

Fiscal Year					
2016	2017	2018	2019	2020	2021
\$ 107,177,328	\$ 113,110,337	\$ 127,747,232	\$ 132,870,361	\$ 136,961,064	\$ 150,028,116
4,835,646	4,557,940	5,933,064	6,407,546	5,181,419	7,200,995
9,576,097	10,152,792	11,199,206	11,538,206	11,124,732	12,106,312
13,741,415	15,461,765	17,946,142	17,815,225	18,150,702	18,599,999
15,242,048	16,342,729	18,877,434	19,415,295	20,185,313	21,217,816
4,593,145	4,602,541	5,000,963	5,056,479	4,949,353	5,074,141
5,689,143	5,941,833	6,197,252	6,599,916	6,943,996	6,829,103
368,506	677,754	745,049	651,022	615,064	566,924
1,925,504	2,139,432	3,831,530	5,200,637	8,116,117	7,731,553
163,148,832	172,987,123	197,477,872	205,554,687	212,227,760	229,354,959
6,189,701	6,036,498	6,481,988	6,575,441	6,747,139	5,770,183
\$ 169,338,533	\$ 179,023,621	\$ 203,959,860	\$ 212,130,128	\$ 218,974,899	\$ 235,125,142
\$ 1,013,403	\$ 1,658,135	\$ 1,820,632	\$ 2,045,298	\$ 2,140,253	\$ 1,997,428
250,620	306,451	337,003	346,680	362,463	253,646
28,901,876	25,806,402	26,877,570	27,383,727	26,865,019	33,587,992
641,945	191,741	904,490	145,597	206,540	768,076
30,807,844	27,962,729	29,939,695	29,921,302	29,574,275	36,607,142
2,357,084	2,626,442	2,659,506	2,819,280	2,174,897	404,205
3,498,804	3,722,874	3,912,283	4,021,884	4,416,802	5,467,733
5,855,888	6,349,316	6,571,789	6,841,164	6,591,699	5,871,938
\$ 36,663,732	\$ 34,312,045	\$ 36,511,484	\$ 36,762,466	\$ 36,165,974	\$ 42,479,080
\$ (132,340,988)	\$ (145,024,394)	\$ (167,538,177)	\$ (175,633,385)	\$ (182,653,485)	\$ (192,747,817)
(333,813)	312,818	89,801	265,723	(155,440)	101,755
\$ (132,674,801)	\$ (144,711,576)	\$ (167,448,376)	\$ (175,367,662)	\$ (182,808,925)	\$ (192,646,062)

Iowa City Community School District

General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Net (expense) revenue:				
Governmental activities	\$ (113,174,559)	\$ (125,406,791)	\$ (133,895,934)	\$ (123,316,783)
Business-type activities	170,361	85,942	(302,486)	(289,094)
Total primary government net expense	(113,004,198)	(125,320,849)	(134,198,420)	(123,605,877)
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for general purposes	59,722,769	60,395,065	61,055,235	63,617,123
Property taxes levied for capital projects	8,026,572	8,389,497	8,705,266	9,151,358
Property taxes levied debt service	3,599,933	3,502,939	3,310,092	3,278,652
Sales taxes provided for capital projects	13,833,210	10,813,815	11,125,642	12,515,712
Unrestricted grants and contributions	45,509,708	48,024,527	52,004,652	56,396,516
Investment earnings	268,335	253,529	216,168	233,928
Gain on sale of capital assets	4,384,550	-	4,571	-
Other	3,632,061	4,145,399	3,673,548	1,462,366
Transfers	-	-	-	-
Total governmental activities	138,977,138	135,524,771	140,095,174	146,655,655
Business-type activities:				
Investment earnings	5,495	5,559	10,127	7,509
Transfers	-	-	-	-
	5,495	5,559	10,127	7,509
Total primary government	138,982,633	135,530,330	140,105,301	146,663,164
Change in net position:				
Governmental activities	25,802,579	10,117,980	6,199,240	23,338,872
Business-type activities	175,856	91,501	(292,359)	(281,585)
Total primary government	\$ 25,978,435	\$ 10,209,481	\$ 5,906,881	\$ 23,057,287

Fiscal Year					
2016	2017	2018	2019	2020	2021
\$ (132,340,988)	\$ (145,024,394)	\$ (167,538,177)	\$ (175,633,385)	\$ (182,653,485)	\$ (192,747,817)
(333,813)	312,818	89,801	265,723	(155,440)	101,755
(132,674,801)	(144,711,576)	(167,448,376)	(175,367,662)	(182,808,925)	(192,646,062)
66,430,760	71,261,883	74,276,771	76,056,596	80,866,263	85,449,986
9,287,340	9,999,172	10,428,235	10,939,315	11,202,835	13,187,465
3,259,578	3,294,159	3,301,317	12,808,824	9,718,090	12,318,185
12,815,660	13,096,050	13,165,538	14,300,041	14,810,601	16,197,824
57,802,551	64,814,688	65,993,465	67,212,823	69,240,057	72,359,885
465,432	461,313	1,379,124	2,782,746	2,062,291	754,505
-	-	-	-	-	-
714,694	850,565	1,621,865	1,187,714	1,242,837	3,632,537
-	-	-	-	-	(200,000)
150,776,015	163,777,830	170,166,315	185,288,059	189,142,974	203,700,387
6,803	8,102	16,996	34,350	31,966	5,074
-	-	-	-	-	200,000
6,803	8,102	16,996	34,350	31,966	205,074
150,782,818	163,785,932	170,183,311	185,322,409	189,174,940	204,110,535
18,235,027	18,753,436	2,628,138	9,654,674	6,489,489	10,952,570
(327,010)	320,920	106,797	300,073	(123,474)	306,829
\$ 17,908,017	\$ 19,074,356	\$ 2,734,935	\$ 9,954,747	\$ 6,366,015	\$ 11,259,399

Iowa City Community School District

**Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)**

	Fiscal Year			
	2012	2013	2014	2015
General Fund:				
Nondisposable	\$ 876,455	\$ 996,786	\$ 1,174,203	\$ 1,095,801
Restricted	3,621,399	3,642,566	3,575,202	3,303,867
Assigned	609,563	669,699	877,237	-
Unassigned	15,382,598	13,271,679	8,112,212	11,544,614
Total General Fund	\$ 20,490,015	\$ 18,580,730	\$ 13,738,854	\$ 15,944,282
All other governmental funds:				
Nondisposable	\$ 50,372	\$ -	\$ -	\$ 1,540
Restricted	34,446,676	34,939,533	31,288,237	16,413,698
Total all other governmental funds	\$ 34,497,048	\$ 34,939,533	\$ 31,288,237	\$ 16,415,238

Fiscal Year						
2016	2017	2018	2019	2020	2021	
\$ 1,127,628	\$ 1,251,954	\$ 1,395,556	\$ 1,472,184	\$ 1,552,575	\$ 1,316,399	
3,963,463	4,030,600	2,478,299	2,157,358	2,811,326	2,764,349	
-	-	-	-	-	-	
15,339,260	18,550,551	17,237,568	11,270,502	6,876,239	11,653,470	
\$ 20,430,351	\$ 23,833,105	\$ 21,111,423	\$ 14,900,044	\$ 11,240,140	\$ 15,734,218	
\$ 1,310	\$ 267,973	\$ 137,692	\$ 94,879	\$ 97,485	\$ 346,613	
34,191,190	12,713,261	64,583,510	68,914,957	71,311,158	27,372,472	
\$ 34,192,500	\$ 12,981,234	\$ 64,721,202	\$ 69,009,836	\$ 71,408,643	\$ 27,719,085	

Iowa City Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Federal sources, federal grants	\$ 8,321,085	\$ 7,463,516	\$ 5,861,754	\$ 6,379,586
State sources, state grants and other	58,148,506	61,319,723	77,184,727	83,805,768
Local sources:				
Ad valorem taxes	85,292,389	82,777,217	72,945,024	76,047,134
Interest and other income	191,372	161,781	125,569	124,419
Other revenues	6,712,504	8,767,902	7,022,831	7,812,866
Total local sources	92,196,265	91,706,900	80,093,424	83,984,419
Total revenues	\$ 158,665,856	\$ 160,490,139	\$ 163,139,905	\$ 174,169,773

Fiscal Year					
2016	2017	2018	2019	2020	2021
\$ 6,580,460	\$ 6,678,886	\$ 7,321,701	\$ 7,376,387	\$ 6,786,477	\$ 15,223,359
90,008,338	93,878,875	95,391,484	98,667,550	101,292,798	104,929,440
78,977,678	84,555,214	88,006,322	99,804,738	101,787,195	110,955,636
407,023	363,541	1,215,219	2,436,360	1,751,812	619,175
6,153,188	6,111,910	7,512,810	6,823,601	6,787,748	6,754,982
85,537,889	91,030,665	96,734,351	109,064,699	110,326,755	118,329,793
\$ 182,126,687	\$ 191,588,426	\$ 199,447,536	\$ 215,108,636	\$ 218,406,030	\$ 238,482,592

Iowa City Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Instruction	\$ 85,181,022	\$ 93,842,840	\$ 96,348,768	\$ 100,113,327
Pupil personnel services	4,609,186	4,854,053	4,464,944	4,877,624
Instruction and curriculum development services	6,585,642	7,040,962	7,409,098	6,585,412
School administration	10,180,266	11,052,695	11,578,554	11,955,731
Plant operation and maintenance	11,207,615	12,219,182	13,580,269	13,229,990
Pupil transportation services	5,489,138	5,396,481	5,726,049	5,565,497
AEA flowthrough	4,587,779	4,861,844	5,193,678	5,551,884
Community services	27,462	531,573	542,712	623,877
Noncapital facilities acquisition/construction	4,542,517	8,785,850	4,401,635	947,459
Capital outlay, facilities acquisition/construction	16,458,827	9,877,428	19,092,591	42,850,527
Debt service:				
Principal	7,405,000	2,825,000	2,885,000	3,735,000
Interest	823,708	669,031	417,400	422,161
Bond issuance costs	83,266	-	-	-
Total expenditures	\$ 157,181,428	\$ 161,956,939	\$ 171,640,698	\$ 196,458,489
Debt service as a percentage of noncapital expenditures	5.85%	2.30%	2.28%	2.71%

Fiscal Year						
	2016	2017	2018	2019	2020	2021
\$	101,899,548	\$ 109,549,193	\$ 116,166,464	\$ 120,842,206	\$ 123,917,779	\$ 127,092,438
	4,763,197	4,557,202	5,263,475	5,877,007	5,896,997	6,838,597
	9,713,120	9,994,547	10,858,679	11,232,600	10,668,508	11,750,560
	12,582,260	13,890,404	15,398,662	16,040,462	16,231,105	16,051,020
	13,092,362	14,138,848	15,702,415	16,581,995	18,534,661	19,317,470
	4,593,145	4,602,541	5,000,963	5,056,479	4,945,842	5,071,888
	5,654,082	5,906,772	6,162,191	6,338,197	6,529,748	6,829,103
	385,765	669,560	729,280	636,469	590,548	551,427
	2,188,919	745,028	5,198,509	1,025,704	2,780,541	7,971,437
	59,615,069	57,975,011	47,648,288	79,812,987	77,886,985	51,075,562
	7,775,000	7,235,000	10,879,607	19,212,478	13,106,719	15,611,195
	2,325,183	2,817,832	4,423,206	5,710,654	9,600,172	9,478,750
	-	-	-	226,658	379,187	-
\$	224,587,650	\$ 232,081,938	\$ 243,431,739	\$ 288,593,896	\$ 291,068,792	\$ 277,639,447
	6.12%	5.82%	7.82%	11.97%	11.94%	12.45%

Iowa City Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Excess of revenues over (under) expenditures	\$ 1,484,428	\$ (1,466,800)	\$ (8,500,793)	\$ (22,288,716)
Other financing sources (uses):				
General long-term debt issued	\$ 15,890,000	\$ -	\$ -	\$ 9,430,000
Premium on bond issuance	1,232,599.00	-	-	191,145
Discount on bond issuance	-	-	-	-
Payment to bond escrow agent	(12,376,759.00)	-	-	-
Other, including sale of capital assets	4,499,440.00	-	7,621	-
Capital lease financing	-	-	-	-
Transfers in	182,000	172,000	182,000	1,056,061
Transfers out	(182,000)	(172,000)	(182,000)	(1,056,061)
Total other financing sources (uses)	9,245,280	-	7,621	9,621,145
Net change in fund balances	\$ 10,729,708	\$ (1,466,800)	\$ (8,493,172)	\$ (12,667,571)

Fiscal Year					
2016	2017	2018	2019	2020	2021
\$ (42,460,963)	\$ (40,493,512)	\$ (43,984,203)	\$ (73,485,260)	\$ (72,662,762)	\$ (39,156,855)
\$ 60,030,000	\$ 21,185,000	\$ 89,240,000	\$ 66,645,000	\$ 65,925,000	\$ -
4,694,294	-	3,491,252	4,917,515	5,476,665	-
-	-	(73,328)	-	-	-
-	-	-	-	-	-
-	-	344,565	-	-	25,000
-	1,500,000	-	-	-	-
6,729,315	8,937,632	13,214,213	12,383,653	12,433,164	14,885,609
(6,729,315)	(8,937,632)	(13,214,213)	(12,383,653)	(12,433,164)	(15,085,609)
64,724,294	22,685,000	93,002,489	71,562,515	71,401,665	(175,000)
\$ 22,263,331	\$ (17,808,512)	\$ 49,018,286	\$ (1,922,745)	\$ (1,261,097)	\$ (39,331,855)

Iowa City Community School District

Assessed Value and Actual Value of Taxable Property Last Ten Fiscal Years (Unaudited)

Fiscal Year	Actual Value			Total Actual Value	Total Taxable Value	Total Direct Rate
	Residential Property	Commercial Property	Agricultural and Other Property			
2012	\$ 6,051,524,322	\$ 1,943,695,634	\$ 154,268,256	\$ 8,149,488,212	\$ 4,806,027,801	14.590%
2013	6,300,549,300	2,064,767,753	182,998,016	8,548,315,069	5,010,901,831	14.073
2014	6,560,418,660	2,080,459,785	180,298,716	8,821,177,161	5,200,640,964	13.688
2015	7,083,834,010	2,025,642,591	189,592,895	9,299,069,496	5,471,006,291	13.700
2016	7,287,199,580	2,082,744,148	187,200,825	9,557,144,553	5,600,477,037	13.868
2017	7,777,625,340	2,364,423,414	85,321,327	10,227,370,081	5,978,490,538	13.989
2018	8,017,837,490	2,443,440,521	76,091,940	10,537,369,951	6,229,388,162	13.958
2019	8,828,930,000	2,610,622,092	55,837,000	11,495,389,092	6,543,211,455	14.856
2020	9,062,196,590	2,628,441,760	55,769,080	11,746,407,430	6,883,478,180	14.791
2021	9,535,070,001	2,659,969,339	55,556,660	12,250,596,000	7,248,667,366	14.839

Source: Johnson County Auditor.

Note: The actual values are determined as of January 1, of the fiscal year indicated. These actual values are used to calculate the taxable values for the second budget following assessment date. For example, the total actual value of \$10,537,369,951 from January 1, 2018 are used for the taxable values for fiscal year 2020.

Iowa City Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Fiscal Year Ended June 30	District Direct Rates				Overlapping Rates			
	General	Capital	Debt Service	Total	County	City of	Area	Other
	Purposes	Purposes	Purposes			Iowa City	School	
2012	12.171	\$ 1.670	\$ 0.749	\$ 14.590	\$ 6.990	\$ 17.842	\$ 0.999	\$ 0.333
2013	11.706	1.670	0.697	14.073	6.749	17.269	1.079	0.329
2014	11.383	1.670	0.635	13.688	6.737	16.805	1.065	0.344
2015	11.432	1.670	0.598	13.700	6.742	16.705	1.058	0.323
2016	11.612	1.670	0.586	13.868	6.903	16.651	1.061	0.328
2017	11.771	1.670	0.550	13.991	6.771	16.583	1.080	0.324
2018	11.760	1.670	0.529	13.959	6.851	16.333	1.132	0.330
2019	11.231	1.670	1.955	14.856	6.536	16.183	1.203	0.306
2020	11.672	1.670	1.449	14.791	6.493	15.833	1.213	0.271
2021	11.381	1.670	1.788	14.839	6.346	15.773	1.257	0.331

Source: Johnson County Auditor and Iowa Department of Management.

Iowa City Community School District

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2021			2012		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Coral Ridge Mall LLC	\$ 62,626,400	1	0.86%	\$ 96,600,000	1	2.01%
Latitude at River Landing	48,789,300	2	0.67	-	-	0.00%
808 on 5th LLC	38,422,900	3	0.53	-	-	0.00%
City of Coralville	35,391,100	4	0.49	28,476,060	4	0.59%
Hawk Landlors (IA) LLC	29,376,100	5	0.41	-	-	-
SHP V/Ryan Bridgewater LLC	25,614,019	6	0.35	-	-	-
Hy-Vee Inc	21,419,700	7	0.30	-	-	-
Old Town Investments LLC	19,210,900	8	0.27	-	-	-
The Eastlake Partnership	15,355,200	9	0.21	-	-	-
Villas on 4th LC	14,058,800	10	0.19	-	-	-
Mid American Energy Co	-	-	-	95,235,562	2	1.98
American College Testing Program, Inc	-	-	-	48,220,590	3	1.00
CCAL 100 Hawk Ridge Drive LLC	-	-	-	23,747,370	5	0.49
Individual	-	-	-	23,678,798	6	0.49
ITC Midwest LLC	-	-	-	21,973,557	7	0.46
Individual	-	-	-	20,443,080	8	0.43
Southgate Development Co, Inc	-	-	-	17,915,900	9	0.37
Dealer Properties IC LLC	-	-	-	17,370,380	10	0.36
All other taxpayers	6,938,402,947	-	-	4,412,366,504	-	-
Total	\$ 7,248,667,366			\$ 4,806,027,801		

Source: Johnson County Auditor.

Iowa City Community School District

Property Tax Levies and Collections Last Ten Fiscal Years (Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Delinquent Tax Collections ¹	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2012	\$ 65,691,101	\$ 65,569,688	99.82%	\$ 3,721	\$ 65,573,409	99.82%
2013	66,443,766	66,421,113	99.96	4,512	66,425,625	99.97
2014	65,648,860	65,594,662	99.92	-	65,594,662	99.92
2015	68,524,114	69,442,154	101.34	3,060	69,445,214	101.34
2016	71,037,013	71,874,564	101.18	-	71,874,564	101.18
2017	77,594,186	77,537,625	99.93	769	77,538,394	99.93
2018	80,680,381	80,666,569	99.98	20,410	80,686,979	100.01
2019	92,349,637	92,238,102	99.88	7,644	92,245,746	99.89
2020	95,100,386	93,272,953	98.08	1,017	93,273,970	98.08
2021	101,481,415	101,453,919	99.97	1,531,519	102,985,438	101.48

Source: Johnson County Auditor and District records.

¹ Delinquent tax collection is presented by collection year, rather than levy year, because information is not available from Johnson County Treasurer by levy year.

Iowa City Community School District

**Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Bonds Outstanding	Percent of Actual Taxable Value of Property	Per Capita	Other Governmental Activities Debt	
				Capital Loan Notes	Sales Tax Revenue Bonds
2012	\$ 18,874,126	0.37%	\$ 163.55	\$ -	\$ -
2013	16,048,419	0.30	137.86	-	-
2014	12,874,476	0.24	111.64	-	-
2015	9,866,080	0.18	89.69	8,630,000	-
2016	6,633,240	0.12	60.30	7,830,000	60,352,252
2017	3,370,969	0.06	29.57	7,015,000	77,642,502
2018	62,266,534	0.95	541.45	6,190,000	100,898,395
2019	122,977,663	1.78	1,068.18	5,355,000	92,859,513
2020	189,311,326	2.61	1,642.44	4,510,000	84,601,408
2021	181,717,043	2.43	1,453.74	3,645,000	76,101,343

	Capital Lease	Total Primary Government	Percentage of Personal Income	Per Capita
2012	\$ -	\$ 18,874,126	*	\$ 163.55
2013	-	16,048,419	*	137.86
2014	-	12,874,476	*	111.64
2015	-	18,496,080	*	168.14
2016	-	74,815,492	*	680.12
2017	-	88,028,471	*	772.18
2018	-	169,354,929	*	1,472.66
2019	752,914	221,945,090	*	1,927.81
2020	381,196	278,803,930	*	2,421.68
2021	-	261,463,386	*	2,091.71

Source: District records

* Information not available

Iowa City Community School District

Direct and Overlapping Governmental Activities Debt As of June 30, 2021 (Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
City of Iowa City	42,610,000	99.999%	\$ 42,609,574
City of Coralville	307,088,929	76.625	235,306,892
City of North Liberty	25,065,000	67.873	17,012,367
City of Hills	602,000	100.000	602,000
Kirkwood Community College	141,210,000	74.015	104,516,581
Johnson County	31,260,700	73.967	23,122,602
City of University Heights	1,350,000	100.000	1,350,000
Subtotal, overlapping debt			<u>424,520,016</u>
District direct debt			<u>261,463,386</u>
Total direct and overlapping debt			<u><u>\$ 685,983,402</u></u>

Source: Johnson County Auditor

* Estimate is based upon overlapping total assessed value and assessed value within Iowa City Community School District boundaries.

Iowa City Community School District

Legal Debt Margin Information Last Ten Fiscal Years (Unaudited)

	2012	2013	2014	2015
Debt limit	\$ 391,013,093	\$ 400,084,113	\$ 407,474,411	\$ 427,415,753
Total net debt applicable to limit	17,990,000	15,165,000	12,280,000	9,345,000
Legal debt margin	<u>\$ 373,023,093</u>	<u>\$ 384,919,113</u>	<u>\$ 395,194,411</u>	<u>\$ 418,070,753</u>
Total net debt applicable to the limit as a percentage of debt limit	4.60%	3.79%	3.01%	2.19%

Source: Johnson County Auditor and District records.

Legal Debt Margin Calculation for Fiscal Year 2021					
Assessed value—2019 valuation				\$	11,749,782,715
Debt limit (5% of assessed value)				\$	587,489,136
Debt applicable to limit					174,250,000
Legal debt margin				\$	413,239,136
2016	2017	2018	2019	2020	2021
\$ 441,058,858	\$ 477,857,228	\$ 487,929,188	\$ 521,359,947	\$ 538,676,107	\$ 587,489,136
6,320,000	10,220,000	65,145,000	120,450,000	181,415,000	174,250,000
\$ 434,738,858	\$ 467,637,228	\$ 422,784,188	\$ 400,909,947	\$ 357,261,107	\$ 413,239,136
1.43%	2.13%	13.35%	23.10%	33.68%	29.66%

Iowa City Community School District

Demographic and Economic Statistics Last Ten Calendar Years (Unaudited)

Calendar Year	Iowa City Population	Total District Population (approximate)	Personal Income (000's) (Johnson County)	Per Capita Personal Income (Johnson County)	Iowa City MSA Unemployment Rate
2012	67,862	110,000	*	*	3.80
2013	67,862	110,000	*	*	3.10
2014	67,862	110,000	*	*	2.50
2015	67,862	110,000	*	*	3.30
2016	67,862	114,000	*	*	2.80
2017	67,862	115,000	*	*	2.00
2018	67,862	115,000	*	*	2.10
2019	67,662	115,000	*	*	5.80
2020	74,828	125,000	*	*	5.10

* Information not available

Source: City of Iowa City and Regional Economic Information System, Bureau of Economic Analysis, U.S. Department of Commerce, Iowa Workforce Development (August 2020) and Johnson County Auditor.

Iowa City Community School District

Principal Employers Current Year and Nine Years Ago (Unaudited)

Employer	2021			2012		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
The University of Iowa Hospitals and Clinics	14,200	1	14.60%	12,154	2	13.50%
The University of Iowa	10,300	2	10.59	18,650	1	20.72
Iowa City Community School District	2,000	3	2.06	1,700	3	1.89
Veterans Health Administrator	2,000	3	2.06	1,562	4	1.74
City of Iowa City	1,600	5	1.64	1,049	9	1.17
Mercy Hospital	1,300	6	1.34	1,208	6	1.34
Proctor & Gamble	1,300	6	1.34	-	-	-
American College Testing	1,000	8	1.03	1,243	5	1.38
Integrated DNA Technologies	800	9	0.82	-	-	-
Pearson Educational Measurement	800	9	0.82	1,200	7	1.33
Rockwell International	600	11	0.62	770	12	0.86
Systems Unlimited	500	12	0.51	890	10	0.99
MediRevv	450	13	0.46	-	-	-
Amazon	450	13	0.46	-	-	-
Hy-Vee Food Stores, Inc.	400	15	0.41	1,166	8	1.30
International Automotive Comp (formerly United Tech)	-	-	-	785	11	0.87
Riverside Casino and Golf Resort	-	-	-	757	13	0.84
All other employers	59,580	-	-	46,866	-	-
Total	97,280		43.16%	90,000		42.03%

Source: Iowa City Area Development (2021 data) based upon full-time equivalents for 2021.

Iowa City Community School District

Full-Time Equivalent District Employees By Type Last Ten Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30			
	2012	2013	2014	2015
Supervisory:				
Instructional administrators	1.00	1.00	1.00	1.00
Noninstructional administrators	9.60	10.60	17.20	16.50
Athletic/activity directors	2.00	2.00	2.50	2.50
Principals	23.50	23.50	23.50	23.50
Assistant principals	7.00	6.00	7.50	6.50
Total supervisory	43.10	43.10	51.70	50.00
Instruction:				
Elementary classroom teachers	349.71	372.77	390.44	384.64
Secondary classroom teachers	238.13	260.50	267.56	255.64
Other classroom teachers	204.40	208.82	229.12	235.97
Paraprofessionals	336.18	382.95	382.12	383.96
Total instruction	1,128.42	1,225.04	1,269.24	1,260.21
Student services:				
Guidance counselors	29.30	31.10	33.40	29.72
Media specialists	26.80	25.80	27.00	26.00
Other professionals (noninstructional)	33.00	29.00	39.00	39.00
Consultants/supervisory	9.14	11.03	8.70	9.76
Total student services	98.24	96.93	108.10	104.48
Support and administration:				
Clerical/secretarial	109.50	112.00	122.00	122.00
Food service workers	76.63	81.38	78.63	73.00
Physical plant	117.70	116.90	123.75	130.06
Other	16.00	11.00	15.00	18.00
Total support and administration	319.83	321.28	339.38	343.06
Total	1,589.59	1,686.35	1,768.42	1,757.75

Source: District records

Full-Time Equivalent Employees as of June 30						Percentage Change 2012 - 2021
2016	2017	2018	2019	2020	2021	
2.00	2.00	2.00	2.00	2.00	2.00	100.00%
14.50	18.00	17.00	17.30	18.00	18.00	87.50%
2.50	2.50	3.50	3.50	3.00	3.00	50.00%
24.50	26.00	27.00	28.00	27.00	28.00	19.15%
7.00	7.00	9.00	12.00	12.00	10.00	42.86%
50.50	55.50	58.50	62.80	62.00	61.00	41.53%
403.48	415.62	435.26	438.48	409.98	408.69	16.87%
265.83	261.32	281.24	284.94	279.18	307.28	29.04%
243.38	245.09	251.75	281.39	275.81	303.87	48.66%
362.71	375.10	438.05	469.53	520.66	502.94	49.60%
1,275.40	1,297.13	1,406.30	1,474.34	1,485.63	1,522.78	34.95%
27.79	27.50	31.80	34.30	34.90	34.90	19.11%
25.80	25.80	27.75	28.50	25.65	26.35	-1.68%
45.00	44.00	46.25	49.19	52.92	57.35	73.79%
8.50	43.40	47.06	45.28	44.54	66.25	624.84%
107.09	140.70	152.86	157.27	158.01	184.85	88.16%
124.00	115.00	122.97	133.63	130.56	123.19	12.50%
84.33	90.25	102.29	102.75	105.46	106.08	38.43%
124.44	127.37	138.25	145.25	152.69	164.44	39.71%
20.00	18.00	24.00	27.00	29.00	37.00	131.25%
352.77	350.62	387.51	408.63	417.71	430.71	34.67%
1,785.76	1,843.95	2,005.17	2,103.04	2,123.35	2,199.34	38.36%

Iowa City Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Official Enrollment	Operating Expenses	Cost Per Pupil	Percentage Change
2012	12,454	\$ 136,681,845	\$ 10,975	1.91%
2013	12,774	149,855,123	11,731	6.89
2014	13,159	156,290,131	11,877	1.23
2015	13,328	150,289,181	11,276	(5.06)
2016	13,671	163,148,832	11,934	5.83
2017	13,982	170,847,691	12,219	2.39
2018	14,198	193,646,342	13,639	11.62
2019	14,285	200,092,331	14,007	2.70
2020	14,572	206,821,197	14,193	1.33
2021	14,284	221,658,467	15,518	9.33

Source: District records

Note: Operating expenditures represents governmental activity expenditures less interest on long-term debt. Expenses represent business-type activity expenses, which includes the District's School Nutrition Fund.

Expenses	Cost Per Pupil	Percentage Change	Teaching Staff (in FTE)	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced-Priced Meals
\$ 4,432,821	\$ 356	2.89%	792.24	15.72	29.43%
4,821,834	377	5.89	842.09	15.17	33.76
5,507,940	419	11.14	887.12	14.83	35.06
5,822,005	437	4.29	876.25	15.21	33.74
6,189,701	453	3.67	912.69	14.98	35.73
6,036,498	432	(4.63)	922.03	15.16	36.80
6,481,988	456	5.55	968.25	14.66	35.50
6,575,441	460	0.01	1004.81	14.22	38.10
6,747,139	463	0.01	964.97	15.10	37.70
5,770,183	404	(12.74)	1019.84	14.01	

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2012	2013	2014	2015
Elementary:				
Coralville Central Elementary (1948,1959)				
Square feet	52,967	52,967	52,967	52,967
Capacity	462	506	506	506
Enrollment	437	445	426	40
Samuel Kirkwood Elementary (1963,1968,1987)				
Square feet	48,045	48,045	48,045	48,045
Capacity	352	437	437	437
Enrollment	321	319	378	363
Herbert Hoover Elementary (2017)**				
Square feet	36,643	36,643	36,643	36,643
Capacity	330	437	437	437
Enrollment	375	372	325	311
Hills Elementary (1965, 1969)				
Square feet	24,449	24,449	24,449	24,449
Capacity	220	276	276	276
Enrollment	110	112	100	111
Ernest Horn Elementary (1969, 1978, 2011)				
Square feet	50,603	50,603	50,603	50,603
Capacity	436	506	506	506
Enrollment	364	461	464	493
Helen Lemme Elementary (1970, 1975, 1998)				
Square feet	36,293	36,293	36,293	36,293
Capacity	308	368	368	368
Enrollment	344	372	399	407
Lincoln Elementary (1926, 1988)				
Square feet	25,832	25,832	25,832	25,832
Capacity	220	253	253	253
Enrollment	241	246	239	237
Longfellow Elementary (1917)				
Square feet	30,148	30,148	30,148	30,148
Capacity	308	391	391	391
Enrollment	349	334	322	329
Robert Lucas Elementary (1962, 1978, 1990)				
Square feet	42,080	42,080	42,080	42,080
Capacity	418	506	506	506
Enrollment	441	436	424	405
Horace Mann Elementary (1917)				
Square feet	29,360	29,360	29,360	29,360
Capacity	286	345	345	345
Enrollment	245	260	245	223
Penn Elementary (1961, 1985, 1995)				
Square feet	38,838	38,838	38,838	38,838
Capacity	418	460	460	460
Enrollment	502	516	524	530

** The District constructed a new school building but transferred the same name to the new building in 2017

(Continued)

Fiscal Year					
2016	2017	2018	2019	2020	2021
52,967	52,967	52,967	52,967	53,287	53,287
506	506	420	420	420	420
422	439	431	429	452	470
48,045	48,045	48,045	48,045	51,764	51,764
437	437	468	468	468	468
314	343	324	350	280	270
36,643	36,643	67,388	67,388	67,388	67,388
437	437	575	575	575	575
272	261	256	261	420	438
24,449	24,449	24,449	24,449	24,565	24,565
276	276	200	200	200	200
184	199	198	188	175	162
50,603	50,603	50,603	50,603	50,179	50,179
506	506	468	468	468	468
500	480	413	394	440	423
36,293	36,293	36,293	36,293	36,878	36,878
368	368	420	420	420	420
395	377	376	397	369	357
25,832	25,832	25,832	25,832	43,908	43,908
253	253	253	240	240	240
239	227	228	214	240	229
30,148	30,148	30,148	30,148	63,554	63,554
391	391	360	360	360	360
338	336	304	341	403	405
42,080	42,080	42,080	42,080	46,342	46,342
506	506	410	410	410	410
442	442	455	455	335	293
29,360	29,360	29,360	29,360	51,619	51,619
345	345	345	242	242	242
222	242	223	218	242	236
38,838	38,838	38,838	38,838	75,232	75,232
460	460	460	633	633	633
552	576	636	616	494	495

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2012	2013	2014	2015
Elementary:				
Theodore Roosevelt Elementary (1931, 1961) *				
Square feet	29,008	29,008	29,008	29,008
Capacity	264	264	264	264
Enrollment	283	40	40	40
Bouhmil Shimek Elementary (1970, 1991)				
Square feet	28,130	28,130	28,130	28,130
Capacity	242	276	276	276
Enrollment	208	228	215	210
Mark Twain Elementary (1954, 1961)				
Square feet	40,204	40,204	40,204	40,204
Capacity	330	460	460	460
Enrollment	226	299	323	378
Irving Weber Elementary (1993, 2001)				
Square feet	48,400	48,400	48,400	48,400
Capacity	484	506	506	506
Enrollment	568	477	492	490
Grant Wood Elementary (1969, 1993, 2006)				
Square feet	59,890	59,890	59,890	59,890
Capacity	484	575	575	575
Enrollment	523	569	525	511
Kate Wickham Elementary (1997)				
Square feet	56,049	56,049	56,049	56,049
Capacity	418	506	506	506
Enrollment	477	481	482	503
James Van Allen Elementary (2005)				
Square feet	61,081	61,081	61,081	61,081
Capacity	484	552	552	552
Enrollment	446	499	500	507
Buford Garner Elementary (2010)				
Square feet	63,815	63,815	63,815	63,815
Capacity	500	529	529	529
Enrollment	429	504	539	581
Norman Borlaug Elementary (2012)				
Square feet	-	67,029.00	67,029	67,029
Capacity	-	552.00	552	552
Enrollment	-	352.00	382	403
Alexander Elementary (2015)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Christine Grant Elementary (2019)				
Square feet				
Capacity				
Enrollment				
Junior High:				
Northwest Junior High School (1971, 1995)				
Square feet	124,436	124,436	124,436	124,436
Capacity	875	875	875	875
Enrollment	641	650	679	641

* During fiscal year 2013, the District changed the name of this school to Theodore Roosevelt Education Center and are serving students for various programs in this building. Effective June 2019, the District is no longer serving student in this facility.

(Continued)

Fiscal Year					
2016	2017	2018	2019	2020	2021
29,008	29,008	29,008	29,008	29,898	29,898
264	264	264	264	-	-
40	40	50	50	-	-
28,130	28,130	28,130	28,130	28,130	28,130
276	276	290	290	290	290
212	215	212	208	204	176
40,204	40,204	40,204	40,204	51,714	51,714
460	460	360	360	360	360
262	311	336	345	209	210
48,400	48,400	48,400	48,400	68,370	68,370
506	506	506	575	575	575
422	425	467	466	576	558
59,890	59,890	59,890	59,890	62,773	62,773
575	575	575	525	525	525
360	305	306	301	325	348
56,049	56,049	56,049	56,049	55,430	57,115
506	506	525	525	525	525
529	513	483	477	411	367
61,081	61,081	61,081	61,081	65,779	65,779
552	552	552	552	564	564
524	501	501	502	466	430
63,815	63,815	63,815	63,815	67,398	67,398
529	529	525	525	525	525
609	619	658	682	509	458
67,029	67,029	67,029	67,029	68,205	72,018
552	552	468	468	468	468
431	431	457	507	467	425
67,714.00	67,714	67,714	67,714	74,319	74,319
500.00	500	500	575	575	575
348.00	407	418	427	328	306
				76,410	76,410
				625	625
				522	531
124,436	124,436	124,436	124,436	127,547	145,580
875	875	875	850	850	850
628	652	728	706	768	819

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2012	2013	2014	2015
Junior High (continued):				
South East Junior High School (1959, 1982, 1995)				
Square feet	138,806	138,806	138,806	138,806
Capacity	775	775	775	775
Enrollment	733	761	771	800
North Central Junior High School (2006)				
Square feet	82,612	82,612	82,612	82,612
Capacity	450	450	450	450
Enrollment	414	469	467	478
High School:				
City High School (1939, 1974, 1982, 1985, 1990, 1995, 2005, 2013)				
Square feet	267,752	267,752	287,047	287,047
Capacity	1,600	1,600	1,600	1,600
Enrollment	1,410	1,414	1,494	1,599
West High School (1969, 1983, 1986, 1993, 1996, 2005)				
Square feet	339,217	339,217	339,217	339,217
Capacity	1,800	1,800	1,800	1,800
Enrollment	1,910	1,956	1,941	1,985
Elizabeth Tate High School (2005)				
Square feet	19,700	19,700	19,700	19,700
Capacity	160	160	160	160
Enrollment	162	149	135	151
Liberty High School (2017)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Portable Classrooms (Various)				
Square feet	33,296	36,000	35,100	35,100
Capacity				
Number	37	40	39	39
Other:				
Central Administration Building (1917)				
Square feet	-	-	-	-
Educational Services Center (2011)				
Square feet	41,776	41,776	41,776	41,776
Physical Plant Building (1984)				
Square feet	19,638	19,638	19,638	19,638
Athletics:				
Football fields	5	5	5	5
Soccer fields	2	2	2	2
Running tracks	2	2	2	2
Baseball/softball fields	4	4	4	3
Tennis Courts	2	2	2	2
Playgrounds	19	19	19	19

Source: District records

Fiscal Year					
2016	2017	2018	2019	2020	2021
138,806	138,806	138,806	138,806	146,237	146,237
775	775	775	750	750	750
801	826	747	780	818	821
82,612	82,612	82,612	82,612	115,496	115,496
450	450	450	450	800	800
504	551	547	551	582	558
287,047	287,047	287,047	287,047	288,505	288,505
1,600	1,600	1,600	1,600	1,600	1,600
1,668	1,717	1,537	1,578	1,564	1,571
339,217	339,217	339,217	339,217	356,576	356,576
1,800	1,800	1,800	1,600	1,600	1,600
2,001	2,092	1,548	1,494	1,439	1,438
19,700	19,700	19,700	19,700	40,356	40,356
160	160	160	160	168	168
158	154	163	140	146	132
-	-	270,000	270,000	305,739	305,739
-	-	1,000	1,000	1,500	1,500
-	-	723	927	1,066	1,136
35,100	35,100	35,100	35,100	44,597	34,853
40	40	40	40	40	32
-	-				
41,776	41,776	41,776	41,776	43,436	43,436
19,638	19,638	19,638	19,638	47,734	47,734
5	5	5	6	6	6
2	2	2	2	3	3
2	2	2	3	3	3
3	3	3	3	5	5
2	2	2	2	3	3
20	20	21	21	21	21

Iowa City Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2021

Federal Grantor/Pass-Through Grantor/Program Title	Federal Assistance Listing Number (ALN)	Pass-Through Entity Identifying Number	Pass Through To Subrecipients	Federal Expenditures
U.S. Department of Agriculture:				
Passed through the State Department of Agriculture and State of Iowa Department of Education:				
Child Nutrition Cluster:				
USDA Commodities (Noncash)	10.555	77-1737	\$ - \$	371,263
COVID-19—National School Lunch Program	10.555	N/A	-	705,831
Subtotal ALN 10.555			-	1,077,094
COVID-19—National School Lunch Program	10.559	N/A	-	4,318,934
Subtotal Child Nutrition Cluster			-	5,396,028
Fresh Fruit & Vegetable Grant	10.582	N/A	-	47,017
Total U.S. Department of Agriculture			-	5,443,045
U.S. Department of Defense:				
Passed through Johnson County, Iowa:				
Flood Control Projects	12.106	N/A	-	5,821
U.S. Department of Education:				
Passed through State of Iowa Department of Education:				
Title I - Grants to Local Educational Agencies	84.010A	N/A	-	2,926,252
Title I - Grants to Local Educational Agencies—Schools in Need of Assistance	84.010A	N/A	-	65,202
Subtotal ALN 84.010A			-	2,991,454
IDEA - High Cost Claim *	84.027	N/A	-	170,984
Vocational Education Basic Grants to States	84.048A	77-6957	-	140,507
Education for Homeless Children and Youth	84.196	N/A	-	47,045
Twenty-First Century Learning Centers	84.287A	N/A	-	297,714
Title II - Improving Teacher Quality State Grant	84.367	N/A	-	540,799
Title IV - Student Support and Academic Enrichment Program	84.424	N/A	-	65,827
Education Stabilization Fund				
COVID-19—GEER Funds	84.425C	N/A	-	280,000
COVID-19—ESSER I Funds	84.425D	N/A	-	1,597,873
COVID-19—ESSER II Funds	84.425D	N/A	-	6,978,214
COVID-19—ESSER III Funds	84.425U	N/A	-	43,625
Subtotal Education Stabilization Fund			-	8,899,712
Passed through Grant Wood Area Education Agency:				
Special Education Grants to States *	84.027	N/A	-	699,995
Title III - English Language Acquisition	84.365	N/A	-	173,228
Total U.S. Department of Education			-	14,027,265
U.S. Department of Health and Human Services:				
Passed through State of Iowa Department of Health and Human Services, Child Care and Development Block Grant, CCDF Cluster	93.575	N/A	-	31,440
U.S. Department of Justice				
COPS Grant	16.710	N/A	-	139,172
U.S. Department of Justice				
COVID - 19 - Coronavirus Relief Fund	21.019	N/A	-	10,000
National Endowment for the Humanities				
Promotion of the Arts	45.025	N/A	-	10,000
National Science Foundation				
Computer & Information Service Grant	47.070	N/A	-	10,061
Total expenditures of federal awards			\$ - \$	19,676,804

* Total Special Education Cluster (CFDA No. 84.027): \$870,979

See notes to schedule of expenditures of federal awards.

Iowa City Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2021

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the Schedule) federal award activity of Iowa City Community School District (the District), under programs of the federal government for the year ended June 30, 2021. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures of federal awards are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Indirect Cost Rate

The District has elected not to use the 10% de minimus indirect cost rate allowed under the Uniform Guidance.

**Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on
an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

RSM US LLP

Independent Auditor's Report

Board of Education
Iowa City Community School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Iowa City Community School District (the District), as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated January 19, 2022.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. We did identify a certain deficiency in internal control, described in the accompanying schedule of findings and questioned costs as item 2021-001 that we consider to be a material weakness.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2021 are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

The District's Response to the Finding

The District's response to the findings identified in our audit is described in the accompanying schedule of findings and questioned costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
January 19, 2022

**Report on Compliance for Each Major Federal
Program and Report on Internal Control Over Compliance
Required by the Uniform Guidance**

Independent Auditor's Report

Board of Education
Iowa City Community School District

Report on Compliance for Each Major Federal Program

We have audited Iowa City Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on the District's major federal programs for the year ended June 30, 2021. The District's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance of each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2021.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on the major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for the major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
January 19, 2022

Iowa City Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2021**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency(ies) identified?

☒ Yes ☐ No
☐ Yes ☒ None Reported
☐ Yes ☒ No

Noncompliance material to financial statements noted?

Federal Awards

Internal control over major programs:

- Material weakness(es) identified?
- Significant deficiency(ies) identified?

☐ Yes ☒ No
☐ Yes ☒ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

- Any audit findings disclosed that are required to be reported in accordance with
Section 2 CFR 200.516

☐ Yes ☒ No

Identification of major program:

CFDA Number	Name of Federal Program
84.027	Special Education Cluster
84.425C, 84.425D	COVID-19 - Education Stabilization Fund

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

(Continued)

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2021

II. Findings Relating to the Financial Statement Audit as Required to be Reported in
Accordance with Generally Accepted Government Auditing Standards

A. Internal Control

2021-001

Finding: The District did not have adequate procedures in place to ensure that construction in progress was complete and accurate and recorded in accordance with GAAP.

Criteria: Per GASB Statement No. 34, capital assets should be recorded at historical cost. Assets being constructed should include all costs associated with constructing the asset until being placed into service. When the asset is placed into service, all costs accumulated in construction in progress should be capitalized.

Condition: During the 2021 fiscal year, the District performed a review of all of its construction in progress projects to ensure the amounts were complete and accurate. Through this review, the District found construction in progress had been overstated. During 2014, the District started recording a manual entry for construction in progress still in accounts payable as of year-end in the governmental activities financial statements. The District capitalized costs during the year into construction in progress based on when invoices were paid. Then at year end, the District recorded an entry for the amount in accounts payable related to construction in progress projects. The following year the District did not reverse the prior year accounts payable entry resulting in an overstatement of construction in progress and an overstatement of net position.

Cause: The District did not have internal controls in place to reconcile the ending construction in progress to the projects in process as of year-end.

Effect: A restatement of Governmental Activities beginning net position of \$35,176,984.

Recommendation: We recommend the District implement a reconciliation and review process to ensure construction projects that cross several fiscal years are appropriately accounted for in the government wide financial statements.

Management response: Management agrees with the finding.

B. Instances of Noncompliance

None reported.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2021

III. Findings and Questioned Costs for Federal Awards

A. Internal Control

None reported.

B. Instances of Noncompliance

None reported.

IV. Other Findings Related to Required Statutory Reporting

IV-A-21—Certified Budget and General Fund Spending Authority

No expenditures exceeded the amended certified budget amounts.

IV-B-21—Questionable Disbursements

No expenditures that may not meet the requirements of public purpose defined in the Attorney General's opinion dated April 25, 1979, were noted.

IV-C-21—Travel Expenses

No disbursements of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-21—Business Transactions

No material business transactions between the District and District officials or employees were noted.

IV-E-21—Restricted Donor Activity

No transactions were noted between the District, District Officials or District employees and restricted donor in compliance with Chapter 68B of the Code of Iowa.

IV-F-21—Bond Coverage

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage is reviewed annually to ensure the coverage is adequate for current operations.

IV-G-21—Board Minutes

No transactions requiring Board approval which had not been approved in the Board minutes were noted.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2021

IV-H-21—Certified Enrollment

Finding: There were various certified enrollment variances identified by the state and the District that resulted in an increase of 13.48 students from the October 1, 2020 certified enrollment numbers reported by the District.

Recommendation: The District should correct errors prior to providing the information to the state to avoid adjustments made by the state.

Response and corrective action plan: The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor supporting information and reconciliation of data submitted to the Iowa Department of Education.

IV-I-21—Supplementary Weighting

No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-J-21—Deposits and Investments

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Iowa Code and the District's investment policy were noted.

IV-K-21—Certified Annual Report

The Certified Annual Report (CAR) was filed with the Department of Education timely.

IV-L-21—Categorical Funding

No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-21—State-Wide Sales, Services and Use Tax

No instances of noncompliance with the use of the state-wide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2021

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the state-wide sales, services and use tax revenue. For the year ended June 30, 2021, the District's financial activity and other required information for the state-wide sales, services and use tax revenue are as follows:

Beginning balance	\$ 4,129,340
State-wide sales, services and use tax	14,539,517
Interest	12,774
Contributions and rebates	244,937
Expenditures/transfers out:	
Family Resource Programs	(534,000)
Administration services	
School infrastructure:	
Buildings	(495,130)
Equipment	(7,309,320)
Support services	
Operations and maintenance	(865)
Transfer from physical plan and equipment levy	2,000,000
Transfer to debt service	(11,177,446)
Ending balance	<u>\$ 1,409,807</u>

For the year ended June 30, 2021, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

IV-N-21—Deficit Balances

None of the District's funds had deficit fund balances as of June 30, 2021.

IV-O-21—Revenue Bonds

The District has an appropriate sinking fund as required for revenue bonds outstanding as of June 30, 2021.

IV-P-21—Student Activity Fund

No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1).

IV-Q-21—Early Childhood Iowa Area Board

The District is not the fiscal agent for the Early Childhood Iowa Area Board.

Iowa City Community School District

Summary Schedule of Prior Audit Findings
Year Ended June 30, 2021

The prior year single audit disclosed no findings in the Schedule of Findings and Questioned Costs and no uncorrected or unresolved findings exist from the prior audit's Summary of Prior Audit Findings.